



# Project Autobahn

n

**Due Diligence Assistance**

Deal Advisory

April 17, 2019

**DRAFT**



# Important notice

This report is provided to Great Point Partners ("Client") on a confidential basis pursuant to our engagement letter dated February 4, 2019 ("Engagement Agreement") and is subject in all respects to the terms and conditions of the Engagement Agreement, including restrictions on use of this report by third parties.

If this report is received by any party other than Client, the recipient is placed on notice that this report has been prepared solely for Client's benefit and its own use. KPMG LLP ("KPMG") does not authorize recipient or any other party to rely on this report and any such reliance shall be at recipient's sole risk. Therefore, KPMG shall have no liability or responsibility in respect of the advice, recommendations, or other information in this report to recipient or any other party other than Client. Further, this report and its contents may not be shared with or disclosed by the recipient to any party without the express written consent of Client and KPMG.

In preparing our report, our primary source has been Company's internal management information and representations made to us by Management regarding quality of earnings of the Company. We do not accept responsibility for such information which remains the responsibility of management. We have satisfied ourselves, so far as possible, that the information presented in our report is consistent with other information which was made available to us in the course of our work in accordance with the terms of our Engagement Agreement. We have not, however, sought to establish the reliability of the sources by reference to other evidence.

This engagement is not an assurance engagement conducted in accordance with any generally accepted assurance standards and consequently no assurance opinion is expressed.

The quality of earnings is for indicative purposes only. We have sought to illustrate the effect on EBITDA of adjusting for those items identified in the course of our work that may be considered to be 'non-recurring' or 'exceptional'. However, the selection and quantification of such adjustments is necessarily judgmental. Because there is no authoritative literature or common standard with respect to the calculation of 'underlying' earnings, there is no basis to state whether all appropriate and comparable adjustments have been made. In addition, while the adjustments may indeed relate to items which are 'non-recurring' or 'exceptional' or otherwise unrepresentative of the trend, it is possible that earnings for future periods may be affected by such items, which may be different from the historical items.



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### **Private and confidential**

Noah Rhodes, Managing Director  
 Eddie Hjerpe, Senior Associate  
 Great Point Partners, LLC  
 165 Mason Street, 3<sup>rd</sup> Floor  
 Greenwich, CT 06830

April 17, 2019

Dear Mr. Rhodes and Mr. Hjerpe,

We have completed our procedures to assist Great Point Partners, LLC ("Great Point", "Client" or "you") in performing due diligence in connection with your consideration of your prospective acquisition ("the Transaction") of Axiom Real-Time Metrics, Inc. ("Target"), in accordance with the terms of our engagement letter dated February 4, 2019, including its Terms and Conditions for Advisory and Tax Services.

### **Objective**

The objective of our engagement was to assist you with your assessment of the risks and opportunities of your prospective acquisition of Target. Our work in this report was based on information provided by you and obtained in an electronic data room and discussions/meetings with Target Management and its advisors. The primary scope of our engagement was to make inquiries and perform analyses based on information made available to us, directed toward those business activities and related financial data of interest to you.

### **Basis of Information**

The engagement letter describes the procedures we were to perform and are attached herein as Appendix 1. Those procedures were selected by you and were limited in nature and extent to those that you determined best fit your needs. We make no representation regarding the sufficiency for your purposes of the procedures selected, and those procedures will not necessarily disclose all significant matters about Target or reveal errors in the underlying information, instances of fraud, or illegal acts, if any. This report was prepared by us on the basis that you provided us with all relevant information you received concerning Target.

The procedures we performed do not constitute an audit, examination or review in accordance with standards established by the Auditing and Assurance Standards Board ("AASB") in Canada, and we have not otherwise verified the information we obtained or presented in this report. We express no opinion or any other form of assurance on Target's internal control over financial reporting or on the information presented in our report, and make no representations concerning its accuracy or completeness.

We have not compiled, examined, or applied other procedures in accordance with the Assurance and Related Services Guidelines issued by the AASB to prospective information contained in this document and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

The data included in this report was obtained from you and/or Target from February 4, 2019 to April 17, 2019, inclusive. Since many aspects of the transaction with Target have either not been finalized or are not yet documented, changes may occur that materially affect the financial and other information we received and reported to you. We have no obligation to update our report or to revise the information contained herein to reflect events and transactions occurring subsequent to April 17, 2019. We have not reviewed this report with Target Management for the purpose of confirming the factual accuracy of the information we presented.

Because of its special nature, this report is not suited for any purpose other than to assist Client in its evaluation of Target and, as such and as agreed in the engagement letter, is restricted for your internal use only. Accordingly, KPMG does not accept any liability or responsibility to any third party who may use or place reliance on our report.

Yours truly,

**KPMG LLP**  
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# Glossary

|                |                                                                |                    |                                                  |
|----------------|----------------------------------------------------------------|--------------------|--------------------------------------------------|
| <b>\$'000</b>  | Thousands of Canadian Dollars                                  | <b>GAAP</b>        | Generally Accepted Accounting Principles         |
| <b>Adj</b>     | Adjusted                                                       | <b>GL</b>          | General Ledger                                   |
| <b>AMEX</b>    | American Express                                               | <b>GPP</b>         | Great Point Partners                             |
| <b>AP</b>      | Accounts payable                                               | <b>HR</b>          | Human resources                                  |
| <b>AR</b>      | Accounts receivable                                            | <b>HST</b>         | Harmonized sales tax                             |
| <b>ASPE</b>    | Canadian Accounting Standards for Private Enterprises          | <b>IT</b>          | Information technology                           |
| <b>Avg</b>     | Average                                                        | <b>IPC</b>         | Input tax credit                                 |
| <b>Axiom</b>   | Axiom Metrics Inc.                                             | <b>ITC</b>         | Investment tax credit                            |
| <b>BS</b>      | Balance sheet                                                  | <b>KPI</b>         | Key performance indicator                        |
| <b>CAD</b>     | Canadian Dollars                                               | <b>LLC</b>         | Limited Liability Company                        |
| <b>C\$</b>     | Canadian Dollar                                                | <b>LOI</b>         | Letter of intent                                 |
| <b>CapEx</b>   | Capital expenditures                                           | <b>MD&amp;A</b>    | Management discussion and analysis               |
| <b>CCPC</b>    | Canadian-controlled private corporation                        | <b>NOA</b>         | Notice of assessment                             |
| <b>CRA</b>     | Canada Revenue Agency                                          | <b>Nq</b>          | Not quantified                                   |
| <b>CIO</b>     | Chief Investment Officer                                       | <b>NWC</b>         | Net working capital                              |
| <b>CFO</b>     | Chief Finance Officer                                          | <b>OpEx</b>        | Operating expenses                               |
| <b>CEO</b>     | Chief Executive Officer                                        | <b>PP&amp;E</b>    | Property, plant and equipment                    |
| <b>COGS</b>    | Cost of goods sold                                             | <b>P&amp;L</b>     | Profit & Loss Statement                          |
| <b>DPO</b>     | Days payable outstanding                                       | <b>PE</b>          | Permanent establishment                          |
| <b>DSO</b>     | Days sales outstanding                                         | <b>PST</b>         | Proposed Transaction                             |
| <b>EBIT</b>    | Earnings before interest and taxes                             | <b>SPA</b>         | Share purchase agreements                        |
| <b>EBITDA</b>  | Earnings before interest, taxes, depreciation and amortization | <b>SR&amp;ED</b>   | Scientific research and experimental development |
| <b>EHT</b>     | Employer health tax                                            | <b>QoE</b>         | Quality of Earnings                              |
| <b>FS</b>      | Financial statements                                           | <b>R&amp;D</b>     | Research & development                           |
| <b>FTE</b>     | Full time equivalent                                           | <b>SG&amp;A</b>    | Selling, general and administrative              |
| <b>FV</b>      | Fair Value                                                     | <b>Target</b>      | Axiom Real-Time Metrics Inc.                     |
| <b>FY</b>      | Fiscal Year                                                    | <b>Tax Advisor</b> | Klasner & Soloman                                |
| <b>G&amp;A</b> | General and administrative                                     | <b>Thinkworks</b>  | Thinkworks Inc.                                  |
| <b>GST</b>     | Goods and service tax                                          | <b>TTM</b>         | Trailing twelve months                           |
|                |                                                                | <b>USD</b>         | United State dollars                             |
|                |                                                                | <b>YTD</b>         | Year to date                                     |

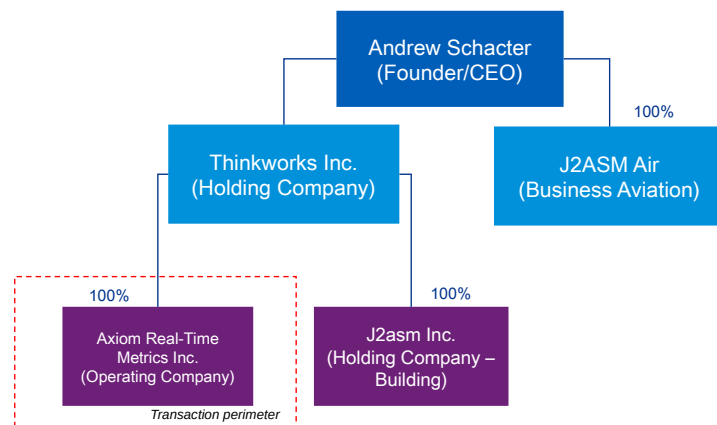


# Executive Summary

# Executive Summary

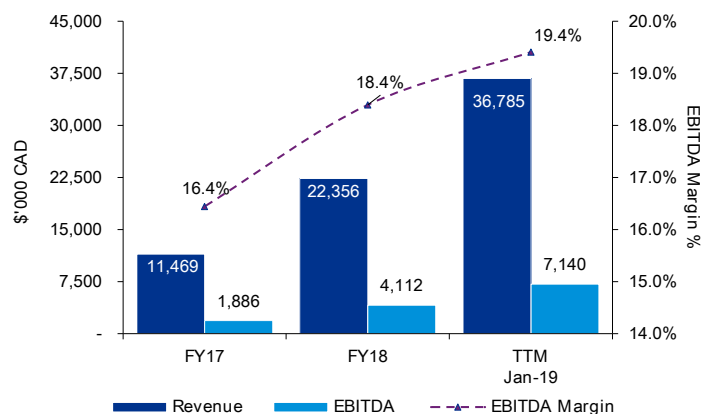
## Business and transaction overview

### Organizational Structure



Source: Management provided information; KPMG analysis  
The above chart does not represent the legal structure of the Company.

### Financial Overview



Source: Management provided information

### Business Overview

- Axiom Real-Time Metrics, Inc. (the "Company", "Axiom") delivers a range of eClinical tools; including electronic data capture, data management, interactive web response systems, and reporting.
- The Company was founded in 2001, by Andrew Schachter. The Company focuses on small to medium size biotech, pharmaceutical and contract research organizations (CROs). The Company has worked with global clients, with locations in North America, Europe, Asia, and India. Axiom's credentials include:
  - Experience in 20 therapeutic areas
  - Driving studies for 17 years
  - 600 studies completed

### Transaction Overview

- It is our understanding that Great Point Partners is evaluating a potential investment in Axiom Real-Time Metrics, Inc.

### Information Overview and Access

Key sources of information used during our due diligence process include:

- Internal monthly trial balances provided by Management
- Electronic data room access
- Audited financial statements for FY17 and FY18; and
- Meetings and discussions held with Management.

## Executive Summary

## Basis of preparation and limitations

| Basis of preparation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Sources of information                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Limitations in scope                                                                                                                                                                                                                                                                                                            | Key outstanding information                                                                                                                                                                                                                                                                                              |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>This report has been produced to provide analyses to Great Point Partners ("Great Point" or "Client") related to the proposed investment in Axiom Real-Time Metrics Inc. ("Target" or "the Company").</p> <p>The Company reports its operating results in CAD.</p> <p>The majority of the analysis herein is based on the Company's monthly trial balances.</p> <p>Our scope of work is included in Appendix 1. The periods reviewed as part of the due diligence included the fiscal years ended June 30, 2017, June 30, 2018 and the most recent available period in 2019, which is January 31, 2019.</p> | <p>The findings presented in this report are based on the following key sources of information:</p> <ul style="list-style-type: none"> <li>■ Electronic data room access: key information from the data room include internal trial balances, financial statements, and Management prepared schedules</li> <li>■ Discussions held with the Company's Management; and</li> <li>■ Discussions held with the Company's auditor.</li> </ul> <p>The contents of our report have not been reviewed by Management and we have not confirmed in writing the factual accuracy of this report.</p> | <ul style="list-style-type: none"> <li>■ Management does not track gross profit margins per revenue stream, therefore no margin trending analysis was performed on the various streams</li> <li>■ Audit file reviews were limited to discussions with the auditors, as their testing and documentation was redacted.</li> </ul> | <ul style="list-style-type: none"> <li>■ Any accounting policy memos regarding revenue recognition or internal development costs prepared for the auditors</li> <li>■ Accounts Receivable, Accounts Payable, Prepaid Assets, and Accrued Liabilities schedules as at Jan-19</li> <li>■ FY19 jet summary costs</li> </ul> |



## Executive Summary

## Key findings (1) – Financial due diligence

| Issue                                                                                                                                                                                                                                                                                 | Summary observations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Key analysis |            |      |            |                     |        |        |        |                      |       |       |       |                  |       |       |       |                        |   |       |     |                             |       |       |       |                       |   |   |       |                              |       |       |       |                       |       |         |         |                            |       |       |       |                                   |      |       |       |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|------------|------|------------|---------------------|--------|--------|--------|----------------------|-------|-------|-------|------------------|-------|-------|-------|------------------------|---|-------|-----|-----------------------------|-------|-------|-------|-----------------------|---|---|-------|------------------------------|-------|-------|-------|-----------------------|-------|---------|---------|----------------------------|-------|-------|-------|-----------------------------------|------|-------|-------|
| <p><b>Quality of earnings, pro forma adjusted</b></p> <p>TTM Jan-19 reported EBITDA of \$7.1 million increased to \$8.4 million after Management and potential adjustments.</p> <p>TTM Jan-19 potentially adjusted EBITDA decreased to \$7.0 million after pro forma adjustments.</p> | <div><div><div><div>Quality of Earnings</div><table><tr><th>\$'000</th><th>FY17</th><th>FY18</th><th>TTM Jan-19</th></tr><tr><td>Net sales, reported</td><td>11,469</td><td>22,356</td><td>36,785</td></tr><tr><td>Net income, reported</td><td>1,382</td><td>2,366</td><td>4,996</td></tr><tr><td>EBITDA, reported</td><td>1,886</td><td>4,112</td><td>7,140</td></tr><tr><td>Management adjustments</td><td>-</td><td>(204)</td><td>159</td></tr><tr><td>EBITDA, management adjusted</td><td>1,886</td><td>3,908</td><td>7,299</td></tr><tr><td>Potential adjustments</td><td>-</td><td>-</td><td>1,131</td></tr><tr><td>EBITDA, potentially adjusted</td><td>1,886</td><td>3,908</td><td>8,430</td></tr><tr><td>Pro forma adjustments</td><td>(768)</td><td>(1,522)</td><td>(1,415)</td></tr><tr><td>EBITDA, pro forma adjusted</td><td>1,118</td><td>2,386</td><td>7,015</td></tr><tr><td>EBITDA margin, pro forma adjusted</td><td>9.7%</td><td>10.7%</td><td>19.1%</td></tr></table></div><div>Source: Management provided information; KPMG analysis</div></div><div><div><div><div>The table below summarizes reported Management, potentially and pro forma adjusted EBITDA for FY17, FY18 and TTM Jan-19:</div><div><div>Significant Management adjustments to TTM Jan-19 EBITDA include:</div><div><div><div>2018 Bonuses paid in 2019 (increase of \$0.1 million):</div><div>Represents an adjustment to move bonuses paid in 2019 relating to 2018 performance to their appropriate period.</div></div><div><div>Duplicate CFO costs – salary (increase of \$40k):</div><div>During the transition to a new CFO, there was an overlap during which salaries were paid to both the new and old CFO. The adjustment removes the duplication of costs.</div></div></div></div><div><div>Significant potential adjustments identified during diligence, and their TTM Jan-19 EBITDA impact are included below:</div><div><div><div>Salary capitalization (increase of \$0.8 million):</div><div>The Company performs a conservative capitalization on a monthly basis, which at year end it trues up based on the auditors calculation. The adjustment increases the capitalization estimate to be more consistent with FY17 and FY18 as a percentage of total salaries.</div></div><div><div>Private Jet allocations (increase of \$0.3 million):</div><div>During the months of Nov-18 and Dec-18 there was no allocation done for the amount of the private jet costs used by Thinkworks/J2ASM. The adjustment adds back an estimated calculation of the allocation for those months.</div></div></div><div><div>Significant pro forma adjustments identified during diligence, and their TTM Jan-19 EBITDA impact are included below:</div><div><div><div>Rent adjustment (decrease of \$0.8 million):</div><div>Represents an adjustment to bring rent costs to the expected run-rate based on the new leased properties.</div></div><div><div>SR&amp;ED income removal (decrease of \$0.6 million):</div><div>Represents an adjustment to remove all SR&amp;ED income. The Company's status as a CCPC (Canadian Controlled Private Company) has changed as the Company is now ineligible to receive cash refunds for 35% of eligible expenditures. They are now eligible to receive tax credits for future taxes payable for 15% of eligible expenditures, as opposed to cash refunds. Due to the nature of the change in the way the credits will be received, we have proposed an adjustment to remove all SR&amp;ED income.</div></div></div></div></div></div></div><div>Pages<br/>14 to 19</div></div></div> | \$'000       | FY17       | FY18 | TTM Jan-19 | Net sales, reported | 11,469 | 22,356 | 36,785 | Net income, reported | 1,382 | 2,366 | 4,996 | EBITDA, reported | 1,886 | 4,112 | 7,140 | Management adjustments | - | (204) | 159 | EBITDA, management adjusted | 1,886 | 3,908 | 7,299 | Potential adjustments | - | - | 1,131 | EBITDA, potentially adjusted | 1,886 | 3,908 | 8,430 | Pro forma adjustments | (768) | (1,522) | (1,415) | EBITDA, pro forma adjusted | 1,118 | 2,386 | 7,015 | EBITDA margin, pro forma adjusted | 9.7% | 10.7% | 19.1% |
| \$'000                                                                                                                                                                                                                                                                                | FY17                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | FY18         | TTM Jan-19 |      |            |                     |        |        |        |                      |       |       |       |                  |       |       |       |                        |   |       |     |                             |       |       |       |                       |   |   |       |                              |       |       |       |                       |       |         |         |                            |       |       |       |                                   |      |       |       |
| Net sales, reported                                                                                                                                                                                                                                                                   | 11,469                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 22,356       | 36,785     |      |            |                     |        |        |        |                      |       |       |       |                  |       |       |       |                        |   |       |     |                             |       |       |       |                       |   |   |       |                              |       |       |       |                       |       |         |         |                            |       |       |       |                                   |      |       |       |
| Net income, reported                                                                                                                                                                                                                                                                  | 1,382                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 2,366        | 4,996      |      |            |                     |        |        |        |                      |       |       |       |                  |       |       |       |                        |   |       |     |                             |       |       |       |                       |   |   |       |                              |       |       |       |                       |       |         |         |                            |       |       |       |                                   |      |       |       |
| EBITDA, reported                                                                                                                                                                                                                                                                      | 1,886                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 4,112        | 7,140      |      |            |                     |        |        |        |                      |       |       |       |                  |       |       |       |                        |   |       |     |                             |       |       |       |                       |   |   |       |                              |       |       |       |                       |       |         |         |                            |       |       |       |                                   |      |       |       |
| Management adjustments                                                                                                                                                                                                                                                                | -                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | (204)        | 159        |      |            |                     |        |        |        |                      |       |       |       |                  |       |       |       |                        |   |       |     |                             |       |       |       |                       |   |   |       |                              |       |       |       |                       |       |         |         |                            |       |       |       |                                   |      |       |       |
| EBITDA, management adjusted                                                                                                                                                                                                                                                           | 1,886                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 3,908        | 7,299      |      |            |                     |        |        |        |                      |       |       |       |                  |       |       |       |                        |   |       |     |                             |       |       |       |                       |   |   |       |                              |       |       |       |                       |       |         |         |                            |       |       |       |                                   |      |       |       |
| Potential adjustments                                                                                                                                                                                                                                                                 | -                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | -            | 1,131      |      |            |                     |        |        |        |                      |       |       |       |                  |       |       |       |                        |   |       |     |                             |       |       |       |                       |   |   |       |                              |       |       |       |                       |       |         |         |                            |       |       |       |                                   |      |       |       |
| EBITDA, potentially adjusted                                                                                                                                                                                                                                                          | 1,886                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 3,908        | 8,430      |      |            |                     |        |        |        |                      |       |       |       |                  |       |       |       |                        |   |       |     |                             |       |       |       |                       |   |   |       |                              |       |       |       |                       |       |         |         |                            |       |       |       |                                   |      |       |       |
| Pro forma adjustments                                                                                                                                                                                                                                                                 | (768)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | (1,522)      | (1,415)    |      |            |                     |        |        |        |                      |       |       |       |                  |       |       |       |                        |   |       |     |                             |       |       |       |                       |   |   |       |                              |       |       |       |                       |       |         |         |                            |       |       |       |                                   |      |       |       |
| EBITDA, pro forma adjusted                                                                                                                                                                                                                                                            | 1,118                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 2,386        | 7,015      |      |            |                     |        |        |        |                      |       |       |       |                  |       |       |       |                        |   |       |     |                             |       |       |       |                       |   |   |       |                              |       |       |       |                       |       |         |         |                            |       |       |       |                                   |      |       |       |
| EBITDA margin, pro forma adjusted                                                                                                                                                                                                                                                     | 9.7%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 10.7%        | 19.1%      |      |            |                     |        |        |        |                      |       |       |       |                  |       |       |       |                        |   |       |     |                             |       |       |       |                       |   |   |       |                              |       |       |       |                       |       |         |         |                            |       |       |       |                                   |      |       |       |

## Executive Summary

## Key findings (2) – Financial due diligence

| Issue                                                                                                                                                                       | Summary observations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Key analysis        |                |            |              |                |  |  |        |       |  |  |         |  |  |        |        |        |      |      |            |                                      |              |              |                |            |              |                |                       |     |     |     |     |     |     |                                                  |             |              |                |            |           |                |                             |     |     |     |    |     |     |                                                |            |           |                |            |            |                |                                  |      |      |        |      |      |        |                   |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|----------------|------------|--------------|----------------|--|--|--------|-------|--|--|---------|--|--|--------|--------|--------|------|------|------------|--------------------------------------|--------------|--------------|----------------|------------|--------------|----------------|-----------------------|-----|-----|-----|-----|-----|-----|--------------------------------------------------|-------------|--------------|----------------|------------|-----------|----------------|-----------------------------|-----|-----|-----|----|-----|-----|------------------------------------------------|------------|-----------|----------------|------------|------------|----------------|----------------------------------|------|------|--------|------|------|--------|-------------------|
| <b>Net working capital, pro forma adjusted</b><br><br>Potential and pro forma adjustments increased TTM Jan-19 average NWC from \$(2.2) million reported to \$(1.7) million | <ul style="list-style-type: none"><li>The table below summarizes reported Management, potentially and pro forma adjusted NWC for FY17, FY18 and TTM Jan-19:<br/><table><tr><th colspan="7">Net working capital</th></tr><tr><th rowspan="2">\$'000</th><th colspan="3">As at</th><th colspan="3">Average</th></tr><tr><th>Jun-17</th><th>Jun-18</th><th>Jan-19</th><th>FY17</th><th>FY18</th><th>TTM Jan-19</th></tr><tr><td><b>Net working capital, reported</b></td><td><b>(253)</b></td><td><b>(602)</b></td><td><b>(2,923)</b></td><td><b>457</b></td><td><b>(185)</b></td><td><b>(2,233)</b></td></tr><tr><td>Potential adjustments</td><td>175</td><td>256</td><td>292</td><td>126</td><td>197</td><td>274</td></tr><tr><td><b>Net working capital, potentially adjusted</b></td><td><b>(78)</b></td><td><b>(346)</b></td><td><b>(2,631)</b></td><td><b>584</b></td><td><b>11</b></td><td><b>(1,959)</b></td></tr><tr><td>Total pro forma adjustments</td><td>311</td><td>395</td><td>135</td><td>26</td><td>267</td><td>241</td></tr><tr><td><b>Net working capital, pro forma adjusted</b></td><td><b>233</b></td><td><b>49</b></td><td><b>(2,496)</b></td><td><b>610</b></td><td><b>279</b></td><td><b>(1,718)</b></td></tr><tr><td>Adjusted WC, as a % of net sales</td><td>0.5%</td><td>0.1%</td><td>(6.8%)</td><td>1.3%</td><td>0.4%</td><td>(1.7%)</td></tr></table><br/><i>Source: Management provided information; KPMG analysis</i></li><li>Significant potential adjustments identified during diligence, and their TTM Jan-19 NWC impact, include:<ul style="list-style-type: none"><li><b>Non – operational items: (increase of \$0.3 million):</b> Adjustment removes non-operational items from NWC, these include income taxes payable and current obligations under capital lease.</li></ul></li><li>Significant pro forma adjustments identified during diligence, and their TTM Jan-19 NWC impact, include:<ul style="list-style-type: none"><li><b>Private jet NWC adjustment (increase of \$0.2 million):</b> It is our understanding that Axiom pays for all private jet costs upfront and then an allocation occurs to other entities for their respective usage. Since this arrangement will cease upon closing, the proposed adjustment estimates the payables impact of the costs allocated to other entities and adds them back to NWC.</li></ul></li></ul> | Net working capital |                |            |              |                |  |  | \$'000 | As at |  |  | Average |  |  | Jun-17 | Jun-18 | Jan-19 | FY17 | FY18 | TTM Jan-19 | <b>Net working capital, reported</b> | <b>(253)</b> | <b>(602)</b> | <b>(2,923)</b> | <b>457</b> | <b>(185)</b> | <b>(2,233)</b> | Potential adjustments | 175 | 256 | 292 | 126 | 197 | 274 | <b>Net working capital, potentially adjusted</b> | <b>(78)</b> | <b>(346)</b> | <b>(2,631)</b> | <b>584</b> | <b>11</b> | <b>(1,959)</b> | Total pro forma adjustments | 311 | 395 | 135 | 26 | 267 | 241 | <b>Net working capital, pro forma adjusted</b> | <b>233</b> | <b>49</b> | <b>(2,496)</b> | <b>610</b> | <b>279</b> | <b>(1,718)</b> | Adjusted WC, as a % of net sales | 0.5% | 0.1% | (6.8%) | 1.3% | 0.4% | (1.7%) | Pages<br>20 to 23 |
| Net working capital                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                     |                |            |              |                |  |  |        |       |  |  |         |  |  |        |        |        |      |      |            |                                      |              |              |                |            |              |                |                       |     |     |     |     |     |     |                                                  |             |              |                |            |           |                |                             |     |     |     |    |     |     |                                                |            |           |                |            |            |                |                                  |      |      |        |      |      |        |                   |
| \$'000                                                                                                                                                                      | As at                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                     |                | Average    |              |                |  |  |        |       |  |  |         |  |  |        |        |        |      |      |            |                                      |              |              |                |            |              |                |                       |     |     |     |     |     |     |                                                  |             |              |                |            |           |                |                             |     |     |     |    |     |     |                                                |            |           |                |            |            |                |                                  |      |      |        |      |      |        |                   |
|                                                                                                                                                                             | Jun-17                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Jun-18              | Jan-19         | FY17       | FY18         | TTM Jan-19     |  |  |        |       |  |  |         |  |  |        |        |        |      |      |            |                                      |              |              |                |            |              |                |                       |     |     |     |     |     |     |                                                  |             |              |                |            |           |                |                             |     |     |     |    |     |     |                                                |            |           |                |            |            |                |                                  |      |      |        |      |      |        |                   |
| <b>Net working capital, reported</b>                                                                                                                                        | <b>(253)</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | <b>(602)</b>        | <b>(2,923)</b> | <b>457</b> | <b>(185)</b> | <b>(2,233)</b> |  |  |        |       |  |  |         |  |  |        |        |        |      |      |            |                                      |              |              |                |            |              |                |                       |     |     |     |     |     |     |                                                  |             |              |                |            |           |                |                             |     |     |     |    |     |     |                                                |            |           |                |            |            |                |                                  |      |      |        |      |      |        |                   |
| Potential adjustments                                                                                                                                                       | 175                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 256                 | 292            | 126        | 197          | 274            |  |  |        |       |  |  |         |  |  |        |        |        |      |      |            |                                      |              |              |                |            |              |                |                       |     |     |     |     |     |     |                                                  |             |              |                |            |           |                |                             |     |     |     |    |     |     |                                                |            |           |                |            |            |                |                                  |      |      |        |      |      |        |                   |
| <b>Net working capital, potentially adjusted</b>                                                                                                                            | <b>(78)</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | <b>(346)</b>        | <b>(2,631)</b> | <b>584</b> | <b>11</b>    | <b>(1,959)</b> |  |  |        |       |  |  |         |  |  |        |        |        |      |      |            |                                      |              |              |                |            |              |                |                       |     |     |     |     |     |     |                                                  |             |              |                |            |           |                |                             |     |     |     |    |     |     |                                                |            |           |                |            |            |                |                                  |      |      |        |      |      |        |                   |
| Total pro forma adjustments                                                                                                                                                 | 311                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 395                 | 135            | 26         | 267          | 241            |  |  |        |       |  |  |         |  |  |        |        |        |      |      |            |                                      |              |              |                |            |              |                |                       |     |     |     |     |     |     |                                                  |             |              |                |            |           |                |                             |     |     |     |    |     |     |                                                |            |           |                |            |            |                |                                  |      |      |        |      |      |        |                   |
| <b>Net working capital, pro forma adjusted</b>                                                                                                                              | <b>233</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | <b>49</b>           | <b>(2,496)</b> | <b>610</b> | <b>279</b>   | <b>(1,718)</b> |  |  |        |       |  |  |         |  |  |        |        |        |      |      |            |                                      |              |              |                |            |              |                |                       |     |     |     |     |     |     |                                                  |             |              |                |            |           |                |                             |     |     |     |    |     |     |                                                |            |           |                |            |            |                |                                  |      |      |        |      |      |        |                   |
| Adjusted WC, as a % of net sales                                                                                                                                            | 0.5%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 0.1%                | (6.8%)         | 1.3%       | 0.4%         | (1.7%)         |  |  |        |       |  |  |         |  |  |        |        |        |      |      |            |                                      |              |              |                |            |              |                |                       |     |     |     |     |     |     |                                                  |             |              |                |            |           |                |                             |     |     |     |    |     |     |                                                |            |           |                |            |            |                |                                  |      |      |        |      |      |        |                   |

## Executive Summary

## Key findings (3) – Financial due diligence

| Issue                                   | Summary observations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Key analysis |            |        |            |              |         |                                   |       |                  |         |                                         |       |                                    |       |                                        |       |                            |     |                    |       |                       |         |                                |         |             |   |       |       |                   |      |        |       |
|-----------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|------------|--------|------------|--------------|---------|-----------------------------------|-------|------------------|---------|-----------------------------------------|-------|------------------------------------|-------|----------------------------------------|-------|----------------------------|-----|--------------------|-------|-----------------------|---------|--------------------------------|---------|-------------|---|-------|-------|-------------------|------|--------|-------|
| Net debt, potentially adjusted          | <div><div><div><div>Net debt</div><table><tr><th></th><th>As at</th></tr><tr><th>\$'000</th><th>Jan-19</th></tr><tr><td>1 Cash / LOC</td><td>(1,196)</td></tr><tr><td>2 Obligations under capital lease</td><td>(250)</td></tr><tr><td>3 Notes payable</td><td>(2,164)</td></tr><tr><td>4 Related party receivable - thinkworks</td><td>7,430</td></tr><tr><td>5 Related party receivable - j2asm</td><td>2,122</td></tr><tr><td>6 Related party receivable - 3rd party</td><td>169</td></tr><tr><td>7 Due to director</td><td>14</td></tr><tr><td>Net debt, reported</td><td>6,123</td></tr><tr><td>Potential adjustments</td><td>(292)</td></tr><tr><td>Net debt, potentially adjusted</td><td>5,831</td></tr></table></div><div>Source: Management provided information; KPMG analysis</div></div><div><div><div><div></div><div>The table below summarizes reported net debt and potentially adjusted net debt as at Jan-19:</div></div><div><div></div><div><div>Significant potential adjustments identified during diligence to net debt include:</div><div><div>Non – operational items:</div><div>Adjustment adds back income taxes payable and lease obligations to net debt.</div></div><div><div>Other considerations identified during diligence include:</div><div><div>Velicept site payments:</div><div>Velicept site payments are accrued and may differ from the actual invoices received at the end of the study. As of Dec-18, the amount accrued was \$2.4 million. You should consider whether the Company has already received the revenue for any site payments that may remain at close.</div></div><div><div>Related party loan guarantor:</div><div>The Company is the unlimited guarantor of a related company's loan facility of \$7.7 million.</div></div><div><div>190 Ronson:</div><div>Vacant office space leased at ~\$20,000 per month until Nov-19 that the Company has not yet been able to sublease.</div></div><div><div>Potential tax exposures:</div><div>Refer to the Tax due diligence section.</div></div></div></div></div></div></div><div>Pages<br/>24 to 25</div></div> |              | As at      | \$'000 | Jan-19     | 1 Cash / LOC | (1,196) | 2 Obligations under capital lease | (250) | 3 Notes payable  | (2,164) | 4 Related party receivable - thinkworks | 7,430 | 5 Related party receivable - j2asm | 2,122 | 6 Related party receivable - 3rd party | 169   | 7 Due to director          | 14  | Net debt, reported | 6,123 | Potential adjustments | (292)   | Net debt, potentially adjusted | 5,831   |             |   |       |       |                   |      |        |       |
|                                         | As at                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |              |            |        |            |              |         |                                   |       |                  |         |                                         |       |                                    |       |                                        |       |                            |     |                    |       |                       |         |                                |         |             |   |       |       |                   |      |        |       |
| \$'000                                  | Jan-19                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |              |            |        |            |              |         |                                   |       |                  |         |                                         |       |                                    |       |                                        |       |                            |     |                    |       |                       |         |                                |         |             |   |       |       |                   |      |        |       |
| 1 Cash / LOC                            | (1,196)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |              |            |        |            |              |         |                                   |       |                  |         |                                         |       |                                    |       |                                        |       |                            |     |                    |       |                       |         |                                |         |             |   |       |       |                   |      |        |       |
| 2 Obligations under capital lease       | (250)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |              |            |        |            |              |         |                                   |       |                  |         |                                         |       |                                    |       |                                        |       |                            |     |                    |       |                       |         |                                |         |             |   |       |       |                   |      |        |       |
| 3 Notes payable                         | (2,164)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |              |            |        |            |              |         |                                   |       |                  |         |                                         |       |                                    |       |                                        |       |                            |     |                    |       |                       |         |                                |         |             |   |       |       |                   |      |        |       |
| 4 Related party receivable - thinkworks | 7,430                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |              |            |        |            |              |         |                                   |       |                  |         |                                         |       |                                    |       |                                        |       |                            |     |                    |       |                       |         |                                |         |             |   |       |       |                   |      |        |       |
| 5 Related party receivable - j2asm      | 2,122                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |              |            |        |            |              |         |                                   |       |                  |         |                                         |       |                                    |       |                                        |       |                            |     |                    |       |                       |         |                                |         |             |   |       |       |                   |      |        |       |
| 6 Related party receivable - 3rd party  | 169                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |              |            |        |            |              |         |                                   |       |                  |         |                                         |       |                                    |       |                                        |       |                            |     |                    |       |                       |         |                                |         |             |   |       |       |                   |      |        |       |
| 7 Due to director                       | 14                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |              |            |        |            |              |         |                                   |       |                  |         |                                         |       |                                    |       |                                        |       |                            |     |                    |       |                       |         |                                |         |             |   |       |       |                   |      |        |       |
| Net debt, reported                      | 6,123                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |              |            |        |            |              |         |                                   |       |                  |         |                                         |       |                                    |       |                                        |       |                            |     |                    |       |                       |         |                                |         |             |   |       |       |                   |      |        |       |
| Potential adjustments                   | (292)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |              |            |        |            |              |         |                                   |       |                  |         |                                         |       |                                    |       |                                        |       |                            |     |                    |       |                       |         |                                |         |             |   |       |       |                   |      |        |       |
| Net debt, potentially adjusted          | 5,831                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |              |            |        |            |              |         |                                   |       |                  |         |                                         |       |                                    |       |                                        |       |                            |     |                    |       |                       |         |                                |         |             |   |       |       |                   |      |        |       |
| Free cash flow                          | <div><div><div><div>Pre-Tax FCF (Adjusted Basis)</div><table><tr><th></th><th>FY17</th><th>FY18</th><th>TTM Jan-19</th></tr><tr><th>\$'000</th><th></th><th></th><th></th></tr><tr><td>EBITDA, adjusted</td><td>1,886</td><td>3,908</td><td>8,430</td></tr><tr><td>Change in adjusted NWC</td><td>(702)</td><td>(1,652)</td><td>(942)</td></tr><tr><td>Change in Deferred Revenue</td><td>569</td><td>(452)</td><td>(237)</td></tr><tr><td>CAPEX</td><td>(1,748)</td><td>(2,039)</td><td>(2,366)</td></tr><tr><td>Pre-Tax FCF</td><td>4</td><td>(234)</td><td>4,884</td></tr><tr><td>As a % of revenue</td><td>0.0%</td><td>(1.0%)</td><td>13.3%</td></tr></table></div><div>Source: Management provided information; KPMG analysis</div></div><div><div><div><div></div><div>The table below summarizes the free cash flow trend for FY17, FY18 and TTM Jan-19.</div></div><div><div></div><div><div>During the historical period CAPEX has increase due to the growth in revenue. Much of this related to internally developed software.</div><div><div>As revenue increased with Velicept, Net Working Capital was impacted as accrued liabilities related to site payments increased, as well as other payables relating to the Velicept contract.</div></div></div></div></div></div><div>Pages<br/>31</div></div>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |              | FY17       | FY18   | TTM Jan-19 | \$'000       |         |                                   |       | EBITDA, adjusted | 1,886   | 3,908                                   | 8,430 | Change in adjusted NWC             | (702) | (1,652)                                | (942) | Change in Deferred Revenue | 569 | (452)              | (237) | CAPEX                 | (1,748) | (2,039)                        | (2,366) | Pre-Tax FCF | 4 | (234) | 4,884 | As a % of revenue | 0.0% | (1.0%) | 13.3% |
|                                         | FY17                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | FY18         | TTM Jan-19 |        |            |              |         |                                   |       |                  |         |                                         |       |                                    |       |                                        |       |                            |     |                    |       |                       |         |                                |         |             |   |       |       |                   |      |        |       |
| \$'000                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |              |            |        |            |              |         |                                   |       |                  |         |                                         |       |                                    |       |                                        |       |                            |     |                    |       |                       |         |                                |         |             |   |       |       |                   |      |        |       |
| EBITDA, adjusted                        | 1,886                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 3,908        | 8,430      |        |            |              |         |                                   |       |                  |         |                                         |       |                                    |       |                                        |       |                            |     |                    |       |                       |         |                                |         |             |   |       |       |                   |      |        |       |
| Change in adjusted NWC                  | (702)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | (1,652)      | (942)      |        |            |              |         |                                   |       |                  |         |                                         |       |                                    |       |                                        |       |                            |     |                    |       |                       |         |                                |         |             |   |       |       |                   |      |        |       |
| Change in Deferred Revenue              | 569                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | (452)        | (237)      |        |            |              |         |                                   |       |                  |         |                                         |       |                                    |       |                                        |       |                            |     |                    |       |                       |         |                                |         |             |   |       |       |                   |      |        |       |
| CAPEX                                   | (1,748)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | (2,039)      | (2,366)    |        |            |              |         |                                   |       |                  |         |                                         |       |                                    |       |                                        |       |                            |     |                    |       |                       |         |                                |         |             |   |       |       |                   |      |        |       |
| Pre-Tax FCF                             | 4                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | (234)        | 4,884      |        |            |              |         |                                   |       |                  |         |                                         |       |                                    |       |                                        |       |                            |     |                    |       |                       |         |                                |         |             |   |       |       |                   |      |        |       |
| As a % of revenue                       | 0.0%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | (1.0%)       | 13.3%      |        |            |              |         |                                   |       |                  |         |                                         |       |                                    |       |                                        |       |                            |     |                    |       |                       |         |                                |         |             |   |       |       |                   |      |        |       |

## Executive Summary

## Key findings (4) – Financial due diligence

| Finding                     | Summary observations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Key analysis    |               |                     |          |                     |                    |         |                   |       |        |        |        |        |     |       |       |        |              |              |               |               |               |                            |              |              |              |               |        |             |  |          |                     |                       |         |                   |        |        |       |        |        |       |       |     |        |              |               |               |              |               |                            |              |              |              |               |          |
|-----------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|---------------|---------------------|----------|---------------------|--------------------|---------|-------------------|-------|--------|--------|--------|--------|-----|-------|-------|--------|--------------|--------------|---------------|---------------|---------------|----------------------------|--------------|--------------|--------------|---------------|--------|-------------|--|----------|---------------------|-----------------------|---------|-------------------|--------|--------|-------|--------|--------|-------|-------|-----|--------|--------------|---------------|---------------|--------------|---------------|----------------------------|--------------|--------------|--------------|---------------|----------|
| Revenue trends              | <ul style="list-style-type: none"><li>Revenue increased from \$11.5 million in FY17 to \$36.8 million in TTM Jan-19, primarily driven by the customer Velicept, which contributed \$13.7 million in FY18, and \$23.9 million in TTM Jan-19.</li><li>Velicept represented 66.4% of the total sales in TTM Dec-18, which increased from 61.3% in FY18. As a whole, Top ten clients represented 90.9% of total sales from TTM Dec-18. You may wish to consider the risks associated with customer concentration in your assessment of the deal.</li><li>Non-Velicept revenue declined from \$10.6 million in FY17 to \$8.7 million in FY18. This subsequently increased to \$11.8 million in TTM Dec-18.</li><li>Actual revenue from new customers in FY18 and TTM Jan-19 was partially offset by customers with declining trends, which typically were due to gaps between clinical trials.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Pages 28 to 29  |               |                     |          |                     |                    |         |                   |       |        |        |        |        |     |       |       |        |              |              |               |               |               |                            |              |              |              |               |        |             |  |          |                     |                       |         |                   |        |        |       |        |        |       |       |     |        |              |               |               |              |               |                            |              |              |              |               |          |
| Signed revenue vs. forecast | <ul style="list-style-type: none"><li>For customers signed at the start of the period, actual revenue exceeded forecast revenue in FY18 and T11M Dec-18, with positive variances of \$14.5 million, and \$8.7 million respectively.</li><li>In FY18 and T11M Dec-18, Velicept primarily drove the positive variance between actual and forecasted signed revenues.</li></ul> <div><table><caption>Signed customers - FY18 forecast as of Jun-17 vs actuals</caption><thead><tr><th rowspan="2">\$'000</th><th colspan="2">FY18</th><th rowspan="2">Variance</th><th rowspan="2">% forecast achieved</th></tr><tr><th>Fcst. as of Jun-17</th><th>Actuals</th></tr></thead><tbody><tr><td>Top 10 forecasted</td><td>5,853</td><td>19,031</td><td>13,178</td><td>325.2%</td></tr><tr><td>Others</td><td>973</td><td>2,326</td><td>1,353</td><td>239.1%</td></tr><tr><td><b>Total</b></td><td><b>6,826</b></td><td><b>21,358</b></td><td><b>14,532</b></td><td><b>312.9%</b></td></tr><tr><td><b>Total w/ o Velicept</b></td><td><b>4,802</b></td><td><b>7,663</b></td><td><b>2,861</b></td><td><b>159.6%</b></td></tr></tbody></table><p>Source: Management provided information; KPMG analysis</p></div> <div><table><caption>Signed customers - T11M Dec-18 forecast as of Jan-18 vs actuals</caption><thead><tr><th rowspan="2">\$'000</th><th colspan="2">T11M Dec-18</th><th rowspan="2">Variance</th><th rowspan="2">% forecast achieved</th></tr><tr><th>Forecast as of Jan-18</th><th>Actuals</th></tr></thead><tbody><tr><td>Top 10 forecasted</td><td>20,306</td><td>28,557</td><td>8,251</td><td>140.6%</td></tr><tr><td>Others</td><td>1,058</td><td>1,555</td><td>497</td><td>147.0%</td></tr><tr><td><b>Total</b></td><td><b>21,364</b></td><td><b>30,112</b></td><td><b>8,748</b></td><td><b>140.9%</b></td></tr><tr><td><b>Total w/ o Velicept</b></td><td><b>5,149</b></td><td><b>8,391</b></td><td><b>3,242</b></td><td><b>163.0%</b></td></tr></tbody></table><p>Source: Management provided information; KPMG analysis</p></div> | \$'000          | FY18          |                     | Variance | % forecast achieved | Fcst. as of Jun-17 | Actuals | Top 10 forecasted | 5,853 | 19,031 | 13,178 | 325.2% | Others | 973 | 2,326 | 1,353 | 239.1% | <b>Total</b> | <b>6,826</b> | <b>21,358</b> | <b>14,532</b> | <b>312.9%</b> | <b>Total w/ o Velicept</b> | <b>4,802</b> | <b>7,663</b> | <b>2,861</b> | <b>159.6%</b> | \$'000 | T11M Dec-18 |  | Variance | % forecast achieved | Forecast as of Jan-18 | Actuals | Top 10 forecasted | 20,306 | 28,557 | 8,251 | 140.6% | Others | 1,058 | 1,555 | 497 | 147.0% | <b>Total</b> | <b>21,364</b> | <b>30,112</b> | <b>8,748</b> | <b>140.9%</b> | <b>Total w/ o Velicept</b> | <b>5,149</b> | <b>8,391</b> | <b>3,242</b> | <b>163.0%</b> | Pages 27 |
| \$'000                      | FY18                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                 | Variance      | % forecast achieved |          |                     |                    |         |                   |       |        |        |        |        |     |       |       |        |              |              |               |               |               |                            |              |              |              |               |        |             |  |          |                     |                       |         |                   |        |        |       |        |        |       |       |     |        |              |               |               |              |               |                            |              |              |              |               |          |
|                             | Fcst. as of Jun-17                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Actuals         |               |                     |          |                     |                    |         |                   |       |        |        |        |        |     |       |       |        |              |              |               |               |               |                            |              |              |              |               |        |             |  |          |                     |                       |         |                   |        |        |       |        |        |       |       |     |        |              |               |               |              |               |                            |              |              |              |               |          |
| Top 10 forecasted           | 5,853                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 19,031          | 13,178        | 325.2%              |          |                     |                    |         |                   |       |        |        |        |        |     |       |       |        |              |              |               |               |               |                            |              |              |              |               |        |             |  |          |                     |                       |         |                   |        |        |       |        |        |       |       |     |        |              |               |               |              |               |                            |              |              |              |               |          |
| Others                      | 973                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 2,326           | 1,353         | 239.1%              |          |                     |                    |         |                   |       |        |        |        |        |     |       |       |        |              |              |               |               |               |                            |              |              |              |               |        |             |  |          |                     |                       |         |                   |        |        |       |        |        |       |       |     |        |              |               |               |              |               |                            |              |              |              |               |          |
| <b>Total</b>                | <b>6,826</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | <b>21,358</b>   | <b>14,532</b> | <b>312.9%</b>       |          |                     |                    |         |                   |       |        |        |        |        |     |       |       |        |              |              |               |               |               |                            |              |              |              |               |        |             |  |          |                     |                       |         |                   |        |        |       |        |        |       |       |     |        |              |               |               |              |               |                            |              |              |              |               |          |
| <b>Total w/ o Velicept</b>  | <b>4,802</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | <b>7,663</b>    | <b>2,861</b>  | <b>159.6%</b>       |          |                     |                    |         |                   |       |        |        |        |        |     |       |       |        |              |              |               |               |               |                            |              |              |              |               |        |             |  |          |                     |                       |         |                   |        |        |       |        |        |       |       |     |        |              |               |               |              |               |                            |              |              |              |               |          |
| \$'000                      | T11M Dec-18                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                 | Variance      | % forecast achieved |          |                     |                    |         |                   |       |        |        |        |        |     |       |       |        |              |              |               |               |               |                            |              |              |              |               |        |             |  |          |                     |                       |         |                   |        |        |       |        |        |       |       |     |        |              |               |               |              |               |                            |              |              |              |               |          |
|                             | Forecast as of Jan-18                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Actuals         |               |                     |          |                     |                    |         |                   |       |        |        |        |        |     |       |       |        |              |              |               |               |               |                            |              |              |              |               |        |             |  |          |                     |                       |         |                   |        |        |       |        |        |       |       |     |        |              |               |               |              |               |                            |              |              |              |               |          |
| Top 10 forecasted           | 20,306                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 28,557          | 8,251         | 140.6%              |          |                     |                    |         |                   |       |        |        |        |        |     |       |       |        |              |              |               |               |               |                            |              |              |              |               |        |             |  |          |                     |                       |         |                   |        |        |       |        |        |       |       |     |        |              |               |               |              |               |                            |              |              |              |               |          |
| Others                      | 1,058                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 1,555           | 497           | 147.0%              |          |                     |                    |         |                   |       |        |        |        |        |     |       |       |        |              |              |               |               |               |                            |              |              |              |               |        |             |  |          |                     |                       |         |                   |        |        |       |        |        |       |       |     |        |              |               |               |              |               |                            |              |              |              |               |          |
| <b>Total</b>                | <b>21,364</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | <b>30,112</b>   | <b>8,748</b>  | <b>140.9%</b>       |          |                     |                    |         |                   |       |        |        |        |        |     |       |       |        |              |              |               |               |               |                            |              |              |              |               |        |             |  |          |                     |                       |         |                   |        |        |       |        |        |       |       |     |        |              |               |               |              |               |                            |              |              |              |               |          |
| <b>Total w/ o Velicept</b>  | <b>5,149</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | <b>8,391</b>    | <b>3,242</b>  | <b>163.0%</b>       |          |                     |                    |         |                   |       |        |        |        |        |     |       |       |        |              |              |               |               |               |                            |              |              |              |               |        |             |  |          |                     |                       |         |                   |        |        |       |        |        |       |       |     |        |              |               |               |              |               |                            |              |              |              |               |          |
| Operating expenses          | <ul style="list-style-type: none"><li>Total wages have increased from \$4.5 million in FY17 to \$7.8 million in YTD Dec-18A. Average headcount has been steadily growing, rising from 57 in FY17 to 98 in YTD Dec-18A. This was partially driven by the Company converting subcontractors into employees, which Management represents was done to reduce overall costs.<ul style="list-style-type: none"><li>From FY17 to FY18, headcount of full-time employees increased by 47.5%, while sub-contractor headcount decreased by 51.0%.</li></ul></li><li>Travel costs have increased from \$1.3 million to \$1.8 million in FY17 to TTM Jan-19, respectively. This is primarily driven by the costs associated with the private jet.</li><li>The private jet was also used by other related parties. In the historical period analyzed, the entirety of costs associated with the usage and maintenance of the private jet are borne by Axiom. Subsequently, Axiom allocates the usage not associated with the Company, and increases a related party receivable. Upon completion of the proposed transaction, our understanding is this structure will not exist, as Axiom will only be charged for its direct proportionate usage of private jet costs.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Pages 30 and 43 |               |                     |          |                     |                    |         |                   |       |        |        |        |        |     |       |       |        |              |              |               |               |               |                            |              |              |              |               |        |             |  |          |                     |                       |         |                   |        |        |       |        |        |       |       |     |        |              |               |               |              |               |                            |              |              |              |               |          |

## Executive Summary

## Key findings (5) – Tax due diligence

| Finding                         | Summary observations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Key analysis |
|---------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|
| <b>Scope limitation</b>         | <ul style="list-style-type: none"> <li>The scope of our findings are based on discussions with Management and Tax Advisor and information as provided in the VDR by Management (See Appendix 9). To date, we have requested, but have not received, certain information as outlined in Appendix 9. Consequently, our scope has been limited and further tax exposures could exist.</li> <li>Tax Advisor represented that they are solely engaged with income tax compliance work with respect to Target. We have not performed any formal tax diligence in foreign tax jurisdictions in respect of the US, India, and Europe.</li> <li>We recommend consulting legal counsel regarding obtaining comprehensive representations, warranties, and an appropriate indemnity sufficiently broad to cover all potential Canadian tax exposures or all open taxation years. The representations, warranties and indemnity should survive the period for which the tax returns can be reassessed.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Page<br>71   |
| <b>Pre-closing transactions</b> | <p><i>Related party loan receivables</i></p> <ul style="list-style-type: none"> <li>Based on our read of the YTD19 financials, Target has approximately \$C9.7M of loan receivables due from related party parties. Management represented all loans are non-interest bearing. Based on our review of the FY19 related party loans balance and Management representation, we understand that a portion of the balance will be settled prior to closing, but Target is expected to have outstanding loan receivables post-closing. Management represented the outstanding balances due from Thinkworks and J2ASM will continue to be amortized post-closing, and any remaining balance will be settled at the next exit of Target.</li> <li>We have estimated that Target will have approximately C\$5.0M (\$3.9M) of loan receivables outstanding at closing. We recommend confirming the mechanics of the settlement of all loan receivables with legal counsel, as the Proposed Transaction assumes the business will be debt free at close based on the LOI. We also recommend confirming in the SPA that all loan receivables will be settled at their fair value.</li> </ul> <p><i>Pre-closing dividends</i></p> <ul style="list-style-type: none"> <li>Management represented that Target will declare an eligible dividend to Andrew Schachter for approximately C\$189,000 prior to closing. Based on our review of Target's FY18 tax return, Target appears to have sufficient attributes to pay the eligible dividend.</li> </ul> | Page<br>41   |
| <b>SR&amp;ED – CCPC status</b>  | <ul style="list-style-type: none"> <li>As the Buyer is a non-resident, on the earlier of the signing of the share purchase agreement or binding letter of intent, where Buyer obtains the right to acquire more than 50% of the shares of Target, Target will lose its CCPC status. This will impact future SR&amp;ED claims such that the Federal and Ontario tax credit amounts will no longer be refundable (i.e., they will only be available to offset income tax payable).</li> <li>Post-closing, Target will be entitled to Federal SR&amp;ED ITC credits at a 15% rate of eligible expenditures. Since FY16, Target has not been eligible for an enhanced rate of ITCs applicable to certain qualifying CCPC's with the exception of FY18 due to a one-time tax adjustment. Management represented that Target is anticipated to have larger SR&amp;ED claims in FY19 and onward. Accordingly, Target will be subject to the 15% rate for ITCs as a result of the loss of CCPC status post-closing.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Page<br>42   |

## Executive Summary

## Key findings (6) – Tax due diligence

| Finding                                            | Summary observations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Key analysis |
|----------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|
| <b>SR&amp;ED – technical feasibility of claims</b> | <ul style="list-style-type: none"> <li>The CRA has requested for a financial and technical review of Target's FY17 SR&amp;ED filing, however Management represented the technical review has been postponed until May 2019. Based on our review of the FY17 SR&amp;ED claim, the technical content does not appear to meet the requirements to qualify as eligible work performed for the purposes of claiming federal and provincial ITCs.</li> <li>Given that fiscal FY17 SR&amp;ED claim is under review (both technical and financial), and as the content of the applications between FY16 and FY17 is very similar, this generally does not support SR&amp;ED eligible activities for SR&amp;ED ITCs. In the event of a CRA reassessment, we estimate that as much as 70% of the FY17 claim is at risk.</li> <li>Generally, subsequent SR&amp;ED claims will not be processed once a review of the prior period claim is underway. Management has not indicated any additional correspondence with the CRA in respect to the FY17 review but the outcome of FY18 SR&amp;ED claim will be influenced significantly by the results of FY17 SR&amp;ED review. Based on our review of the content of the FY18 claims, we estimated up to 50% of those claims may be at-risk as well. As such, we have estimated a potential federal cash tax exposure of approximately \$300,000 - \$450,000 and a provincial cash tax exposure of \$100,000 - \$150,000 from FY17-FY18, inclusive of penalties and taxes.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Page<br>43   |
| <b>Contractors in foreign jurisdictions</b>        | <ul style="list-style-type: none"> <li>Based on Management representation, we understand Target engages individuals that are tax resident in countries outside of Canada, including India and various countries in Europe. We understand these individuals are contracted by Target and all agreed to sign an independent contractor agreement. However, Management represented that the contractors are in effect treated as employees of Target, as such persons have been working exclusively with Target as software developers and customer service representatives.</li> <li>As the employment is exercised outside of Canada, Canadian payroll withholding taxes should not apply. However, based on Management's representations, there is a medium to high risk that the relevant tax authority in the respective foreign jurisdictions may classify the independent contractors as employees of Target. Consequently, local payroll withholdings and other source deductions may need to be withheld and remitted to such tax authority. Target may also be exposed to penalties and interest on unremitted employee source deductions and certain social security taxes in the respective foreign jurisdictions. Further, subject to specific rules in the relevant jurisdictions, there may be secondary liability for Target or its directors for the principal portion of any unremitted taxes.</li> <li>Based on review of a subcontractor listing provided in the VDR, and on the assumption that foreign employer payroll obligations are similar to Canadian payroll obligations, for illustrative purposes, we have estimated a potential cash tax exposure of \$300,000-400,000.</li> <li>As non-Canadian tax due diligence is outside of our scope, we recommend obtaining a full indemnity for any historical tax liabilities that could arise as a result of Target engaging contractors that may be more appropriately classified as employees in other jurisdictions.</li> </ul> | Page<br>44   |

## Executive Summary

## Key findings (7) – Tax due diligence

| Finding                                          | Summary observations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Key analysis |
|--------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|
| <b>Indirect tax – input tax credits</b>          | <ul style="list-style-type: none"> <li>Management represented that Target paid expenses related to a corporate jet owned by a related party, Thinkworks and now J2ASM Air, and received a reimbursement for these expenses (set off against amounts owed to these companies for travel, on a per diem basis). The reimbursement for the expenses are likely not to be considered to be payments in respect of a taxable supply. However, to the extent Target claimed input tax credits for these expenses, there is a low to medium risk such input tax credits may be denied in the event of a CRA assessment on the basis the costs were not incurred in the course of Target's commercial activities (as Target was the paying agent, and did not own or lease the jet), and were incurred in the course of Thinkworks or commercial activities.</li> <li>If the expenses were Target's responsibility under arrangements between the jet owner and Target, the IPCs are likely to be appropriate (e.g., HST on fuel costs related to Target's travels). We recommend conducting further tax due diligence to confirm whether Target claims any input tax credits in respect of costs related to Thinkworks' commercial activities.</li> </ul>                                                                                                                                                                                                                                                                                                                                                            | Page<br>45   |
| <b>Indirect tax – related party transactions</b> | <ul style="list-style-type: none"> <li>Management represented that it has historically not charged any GST/HST on related party transactions and no related party sales tax exemption elections has been filed. As such, Target could be liable for any uncollected GST/HST plus arrears interest on taxable supplies made to related parties in historical periods.</li> <li>As of December 2019, Target has loan receivables from J2ASM of C\$2.1M of and from Thinkworks of C\$7.4M. Management represented that the receivable from J2ASM is amortized by the rental payments due from Target to J2ASM on a monthly basis. Similarly from FY17-FY18, the receivable due from Thinkworks is reduced by Target's proportionate share of travel costs in connection the company jet owned by Thinkworks up until November 2018. Management represented that as of November 2018, J2ASM Air was incorporated and took over the ownership and financed a new lease for the aircraft, and the arrangement with Target subsequently ceased.</li> <li>As the transactions described above relates to loans, these should be exempt financial services for GST/HST. Based on information provided, there does not appear to be any taxable supplies made by Target to related parties. Management represented Target would file the relevant sales tax exemption elections between related parties post-closing. We recommend that post-closing, Target file the appropriate sales tax elections and review its indirect tax compliance withholding obligations with J2ASM and J2ASM Air going-forward.</li> </ul> | Page<br>45   |

## Executive Summary

## Key findings (8) – Tax due diligence

| Finding                        | Summary observations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Key analysis |
|--------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|
| <b>Permanent establishment</b> | <ul style="list-style-type: none"> <li>■ Management and Tax Advisor represented that 90%-95% of Target's total sales were to US-based customers, and Target engages 5 US-based individuals on a full-time basis. Management represented Target pays these individuals through a professional employment organization that collects and pay taxes for each employee based on the states where they live. Tax Advisor clarified that these individuals are not on the payroll of Axiom.</li> <li>■ A company may create a PE through the activities of a person acting on the company's behalf in a foreign country. A PE generally exists if employees or other dependent agents in the source country have authority to conclude sales contracts in the company's name. If a taxpayer has a PE in a foreign country, it could be subject to filing requirements and incur tax liabilities. Management represented that two of the US-based individuals act as relationship personnel to US-based clients, and these individuals do not maintain the right to conclude contracts and all contracts are negotiated and executed in Canada. Management represented the other three individuals do not deliver any services in the US as well. As a result, Management represented Target has no permanent establishment in the US.</li> <li>■ On this basis that Management and Tax Advisor represented that Target has no US employees, no contracts are ever signed or approved in the US, and no services are delivered in the US or to US customers, and no US permanent establishment exists for Target, Target has never registered or filed any income or indirect US tax compliance filings. It appears reasonable to conclude that no US filings are warranted. Although there is a low risk of a potential tax liability or cash tax exposure in the US, we recommend that Axiom file treaty exempt returns for historical periods and going-forward.</li> </ul> | Page<br>42   |



# Executive Summary

## Summary financial statements

| Balance Sheet Statement                         |                |                 |                 |
|-------------------------------------------------|----------------|-----------------|-----------------|
| \$'000                                          | As at          |                 |                 |
|                                                 | Jun-17         | Jun-18          | Jan-19          |
| <b>Assets</b>                                   |                |                 |                 |
| Cash / LOC                                      | 1,259          | (936)           | (1,196)         |
| Accounts receivable                             | 2,110          | 4,740           | 4,178           |
| Prepaid                                         | 178            | 114             | 980             |
| Current assets                                  | 3,547          | 3,918           | 3,962           |
| Property plant and equipment                    | 376            | 451             | 656             |
| Intangible assets                               | 2,438          | 3,408           | 4,107           |
| Related party - thinkworks                      | 245            | 3,765           | 7,430           |
| Related party - j2asm                           | 162            | 451             | 2,122           |
| Related party - 3rd party                       | -              | -               | 169             |
| Due to director                                 | -              | -               | 14              |
| Non-current assets                              | 3,221          | 8,076           | 14,497          |
| <b>Total assets</b>                             | <b>6,767</b>   | <b>11,993</b>   | <b>18,459</b>   |
| <b>Liabilities and shareholder's fund</b>       |                |                 |                 |
| Accounts payable and accrued liabilities        | (1,837)        | (5,179)         | (7,758)         |
| Obligations under capital lease                 | (37)           | (63)            | (176)           |
| Notes payable                                   | (68)           | (5)             | (303)           |
| Deferred revenue / customer deposits            | (666)          | (214)           | (147)           |
| Current liabilities                             | (2,608)        | (5,461)         | (8,384)         |
| Non-current liabilities                         | (1,371)        | (1,709)         | (1,562)         |
| Total liabilities                               | (3,979)        | (7,170)         | (9,947)         |
| Shareholder's fund                              | (2,788)        | (4,823)         | (8,513)         |
| <b>Total liabilities and shareholder's fund</b> | <b>(6,767)</b> | <b>(11,993)</b> | <b>(18,459)</b> |

Source: Internal trial balances

| Income Statement             |              |              |              |
|------------------------------|--------------|--------------|--------------|
| \$'000                       | TTM          |              |              |
|                              | FY17         | FY18         | Jan-19       |
| Revenue                      | 11,469       | 22,356       | 36,785       |
| Direct costs                 | (234)        | (8,259)      | (16,818)     |
| Gross profit                 | 11,234       | 14,097       | 19,967       |
| Salary and salary related    | (3,784)      | (4,738)      | (6,465)      |
| Subcontractor                | (1,780)      | (716)        | (1,000)      |
| Sales and marketing related  | (704)        | (906)        | (861)        |
| Professional fees            | (71)         | (154)        | (80)         |
| Insurance                    | (37)         | (56)         | (79)         |
| Communication                | (113)        | (205)        | (355)        |
| Travel                       | (1,333)      | (1,525)      | (1,893)      |
| Occupancy costs              | (457)        | (461)        | (396)        |
| Computer , it, equipment     | (637)        | (773)        | (837)        |
| Office and general           | (498)        | (444)        | (786)        |
| Bad debts expense            | (10)         | (17)         | 1            |
| Foreign exchange (gain)/loss | 75           | 10           | (76)         |
| Expenses                     | (9,348)      | (9,985)      | (12,827)     |
| Net ordinary income          | 1,886        | 4,112        | 7,140        |
| Other income/(expenses)      | (504)        | (1,746)      | (2,143)      |
| <b>Net income</b>            | <b>1,382</b> | <b>2,366</b> | <b>4,996</b> |

Source: Internal trial balances

| Cash Flow Statement                        |              |              |                |
|--------------------------------------------|--------------|--------------|----------------|
| \$'000                                     | TTM          |              |                |
|                                            | FY17         | FY18         | Jan-19         |
| <b>Cash flow from operating activities</b> |              |              |                |
| Net income                                 | 1,382        | 2,366        | 4,996          |
| Amortization                               | 628          | 994          | 973            |
| <b>Change in working cap</b>               | <b>(445)</b> | <b>3</b>     | <b>2,333</b>   |
| Net cash from operating activities         | 1,566        | 3,363        | 8,303          |
| <b>Cash flow from investing activities</b> |              |              |                |
| Purchase of Software                       | (1,580)      | (1,705)      | (1,753)        |
| Purchase of PPE                            | (318)        | (334)        | (614)          |
| Net cash from investing activities         | (1,898)      | (2,039)      | (2,366)        |
| <b>Cash flow from financing activities</b> |              |              |                |
| Due to Related Parties - J2ASM             | (20)         | (289)        | (1,931)        |
| Dividends                                  | (585)        | (3,852)      | (5,382)        |
| Proceed /(Payment) from Lease              | 51           | 61           | 265            |
| Proceed /(Payment) from Loan               | 1,924        | 561          | (474)          |
| Net cash from financing activities         | 1,371        | (3,519)      | (7,523)        |
| Change in cash                             | 1,038        | (2,196)      | (1,586)        |
| Opening cash                               | 221          | 1,259        | 390            |
| <b>Closing cash</b>                        | <b>1,259</b> | <b>(936)</b> | <b>(1,196)</b> |

Source: Internal trial balances

### Basis of preparation

- The fiscal year-end for this Company is June 30. All amounts are denominated in Canadian dollars unless otherwise stated. Financial statements were audited by Klasner & Solomon LLP with an unmodified opinion for each of the FY16, FY17, and FY18 statements.
- Axiom Real-Time Metrics Inc. prepares financial statements on an annual basis in accordance with Canadian Accounting Standards for Private Enterprises ("ASPE") and are in accordance with Canadian generally accepted accounting principles.



# Supporting analysis *Quality of earnings*

# Supporting Analysis

## Quality of earnings (1) – Overview

| Quality of Earnings                 |               |               |               |
|-------------------------------------|---------------|---------------|---------------|
|                                     | TTM           |               |               |
| \$'000                              | FY17          | FY18          | Jan-19        |
| <b>Net sales, reported</b>          | <b>11,469</b> | <b>22,356</b> | <b>36,785</b> |
| <b>Net income, reported</b>         | <b>1,382</b>  | <b>2,366</b>  | <b>4,996</b>  |
| <b>Add/ (deduct)</b>                |               |               |               |
| Interest, net                       | 61            | 355           | 216           |
| Depreciation & amortization         | 628           | 994           | 973           |
| Income taxes                        | (186)         | 398           | 955           |
| <b>EBITDA, reported</b>             | <b>1,886</b>  | <b>4,112</b>  | <b>7,140</b>  |
| EBITDA margin, reported             | 16.4%         | 18.4%         | 19.4%         |
| Management adjustments              | -             | (204)         | 159           |
| <b>EBITDA, Management adjusted</b>  | <b>1,886</b>  | <b>3,908</b>  | <b>7,299</b>  |
| EBITDA margin, Management adjusted  | 16.4%         | 17.5%         | 19.8%         |
| Potential adjustments               | -             | -             | 1,131         |
| <b>EBITDA, potentially adjusted</b> | <b>1,886</b>  | <b>3,908</b>  | <b>8,430</b>  |
| EBITDA margin, potentially adjusted | 16.4%         | 17.5%         | 22.9%         |
| Pro forma adjustments               | (768)         | (1,522)       | (1,415)       |
| <b>EBITDA, Pro forma adjusted</b>   | <b>1,118</b>  | <b>2,386</b>  | <b>7,015</b>  |
| EBITDA margin, Pro forma adjusted   | 9.7%          | 10.7%         | 19.1%         |

Source: Internal trial balances; KPMG analysis

### Basis of Preparation

The above Quality of Earnings schedule illustrates potential EBITDA adjustments which were identified for the fiscal years ended June 30, 2017, June 30, 2018, and trailing 12 months ended January, 31 2019. The proposed adjustments are not necessarily all-inclusive and are based on information provided by Management to date. The validity of these potential adjustments and other factors raised for your consideration may require further investigation to understand the potential impact on your valuation model.

### Overview

The Quality of Earnings analysis is prepared based on the following sources of information:

- **Internal / Management Financial Statements:** FY17, FY18 and YTD Jan-19 financial statements and monthly trial balance level financial statements;
- **Audited Financial Statements:** The Company's audited financial statements for FY17, and FY18;
- **Dataroom:** Additional supporting data provided by Management in an electronic data room; and
- **Meetings / Discussions:** Held with Management and their advisors.

The nature of adjustments included in the Quality of Earnings analysis are as follows:

- **Management Adjustments:** Non-recurring/operational items defined by Management.
- **Potential Adjustments:** Represent non-recurring and other items identified during our due diligence to reflect the underlying revenue and earnings of the core business.
- **Pro forma adjustments:** Normalization adjustments identified and estimated to reflect go-forward EBITDA run-rate; and
- **Other Considerations:** Certain other items identified that may impact historical and future EBITDA which are not reflected in the adjacent table.

## Supporting Analysis

## Quality of earnings (2) – Management adjustments

| Quality of Earnings                 |               |               |               |
|-------------------------------------|---------------|---------------|---------------|
|                                     | TTM           |               |               |
| \$'000                              | FY17          | FY18          | Jan-19        |
| <b>Net sales, reported</b>          | <b>11,469</b> | <b>22,356</b> | <b>36,785</b> |
| <b>EBITDA, reported</b>             | <b>1,886</b>  | <b>4,112</b>  | <b>7,140</b>  |
| EBITDA margin, reported             | 16.4%         | 18.4%         | 19.4%         |
| <b>Management adjustments</b>       |               |               |               |
| 1 2018 bonuses paid in 2019         | -             | (204)         | 119           |
| 2 Duplicate CFO costs - salary      | -             | -             | 40            |
| Management adjustments              | -             | (204)         | 159           |
| <b>EBITDA, Management adjusted</b>  | <b>1,886</b>  | <b>3,908</b>  | <b>7,299</b>  |
| EBITDA margin, Management adjusted  | 16.4%         | 17.5%         | 19.8%         |
| Potential adjustments               | -             | -             | 1,131         |
| <b>EBITDA, potentially adjusted</b> | <b>1,886</b>  | <b>3,908</b>  | <b>8,430</b>  |
| EBITDA margin, potentially adjusted | 16.4%         | 17.5%         | 22.9%         |
| Pro forma adjustments               | (768)         | (1,522)       | (1,415)       |
| <b>EBITDA, Pro forma adjusted</b>   | <b>1,118</b>  | <b>2,386</b>  | <b>7,015</b>  |
| EBITDA margin, Pro forma adjusted   | 9.7%          | 10.7%         | 19.1%         |

Source: Internal trial balances; KPMG analysis

| Adjustment Calculation - 2018 Bonuses (Paid in 2019) |          |              |            |
|------------------------------------------------------|----------|--------------|------------|
|                                                      | TTM      |              |            |
| \$'000                                               | FY17     | FY18         | Jan-19     |
| 2018 bonus accrual                                   | -        | (204)        | 119        |
| <b>Total</b>                                         | <b>-</b> | <b>(204)</b> | <b>119</b> |

Source: Internal trial balances; KPMG analysis

| Adjustment Calculation - Duplicate CFO Costs |          |          |           |
|----------------------------------------------|----------|----------|-----------|
|                                              | TTM      |          |           |
| \$'000                                       | FY17     | FY18     | Jan-19    |
| CFO salary costs                             | -        | -        | 40        |
| <b>Total</b>                                 | <b>-</b> | <b>-</b> | <b>40</b> |

Management

The following adjustments are non-recurring/non-operational items identified by Management:

- 2018 bonuses paid in 2019:** This relates to the add-back of bonuses paid in December (FY19) that were related to FY18.
- Duplicate CFO costs – salary:** This relates to the add-back for the CFO transition, as there was an overlap between the incoming CFO (Gianni di Lorio) and the outgoing CFO (Carey Chow).

# Supporting Analysis

## Quality of earnings (3) – Potential adjustments

| Quality of Earnings                 |               |               |               |
|-------------------------------------|---------------|---------------|---------------|
|                                     |               | TTM           |               |
| \$'000                              | FY17          | FY18          | Jan-19        |
| <b>Net sales, reported</b>          | <b>11,469</b> | <b>22,356</b> | <b>36,785</b> |
| <b>EBITDA, reported</b>             | <b>1,886</b>  | <b>4,112</b>  | <b>7,140</b>  |
| EBITDA margin, reported             | 16.4%         | 18.4%         | 19.4%         |
| Management adjustments              | -             | (204)         | 159           |
| <b>EBITDA, Management adjusted</b>  | <b>1,886</b>  | <b>3,908</b>  | <b>7,299</b>  |
| EBITDA margin, Management adjusted  | 16.4%         | 17.5%         | 19.8%         |
| <b>Potential adjustments</b>        |               |               |               |
| 3 Salary capitalization             | -             | -             | 798           |
| 4 Private Jet allocations           | -             | -             | 333           |
| Potential adjustments               | -             | -             | 1,131         |
| <b>EBITDA, potentially adjusted</b> | <b>1,886</b>  | <b>3,908</b>  | <b>8,430</b>  |
| EBITDA margin, potentially adjusted | 16.4%         | 17.5%         | 22.9%         |
| Pro forma adjustments               | (768)         | (1,522)       | (1,415)       |
| <b>EBITDA, Pro forma adjusted</b>   | <b>1,118</b>  | <b>2,386</b>  | <b>7,015</b>  |
| EBITDA margin, Pro forma adjusted   | 9.7%          | 10.7%         | 19.1%         |

Source: Internal trial balances; KPMG analysis

### Potential adjustments

The following adjustments represent non-recurring and other items identified during due diligence to reflect the underlying earnings of the core business:

- Salary capitalization:** This relates to an adjustment made to normalize the salary capitalization year-end adjustments over the TTM Jan-19 period.

The FY18 capitalization as a % of total salary (46.2%) was used to estimate the capitalization for TTM Jan-19. The difference between the estimated amount of \$2.9 million and the current capitalization of \$2.1 million was the adjustment to TTM Jan-19. Please refer to the table below for further detail.

| Adjustment Calculation - Salary Capitalization |            |
|------------------------------------------------|------------|
| \$'000                                         |            |
| Current Wages & salaries - adjustment          | 2,189      |
| Adjusted Wages & salaries - adjustment         | 2,987      |
| <b>Difference</b>                              | <b>798</b> |

Source: Internal trial balances; KPMG analysis

- Private jet allocation:** This relates to an adjustment that was made to allocate the private jet costs relating to J2ASM and Thinkworks out of Axiom's P&L for the months of Nov-18 and Dec-18, when there was no allocation. Management represents that this has been captured in Feb-18 reporting.

| Adjustment Calculation - Private Jet Allocation |        |        |
|-------------------------------------------------|--------|--------|
| \$'000                                          | Nov-18 | Dec-18 |
| Revenue                                         | 3,510  | 3,574  |
| TTM Jet costs as a % of revenue                 | 4.7%   | 4.7%   |
| Jet allocation                                  | 165    | 168    |

Source: Internal trial balances; KPMG analysis

# Supporting Analysis

## Quality of earnings (4) – Pro-forma adjustments

| Quality of Earnings                 |               |               |               |
|-------------------------------------|---------------|---------------|---------------|
|                                     |               | TTM           |               |
| \$'000                              | FY17          | FY18          | Jan-19        |
| <b>Net sales, reported</b>          | <b>11,469</b> | <b>22,356</b> | <b>36,785</b> |
| <b>EBITDA, reported</b>             | <b>1,886</b>  | <b>4,112</b>  | <b>7,140</b>  |
| EBITDA margin, reported             | 16.4%         | 18.4%         | 19.4%         |
| Management adjustments              | -             | (204)         | 159           |
| <b>EBITDA, Management adjusted</b>  | <b>1,886</b>  | <b>3,908</b>  | <b>7,299</b>  |
| EBITDA margin, Management adjusted  | 16.4%         | 17.5%         | 19.8%         |
| Potential adjustments               | -             | -             | 1,131         |
| <b>EBITDA, potentially adjusted</b> | <b>1,886</b>  | <b>3,908</b>  | <b>8,430</b>  |
| EBITDA margin, potentially adjusted | 16.4%         | 17.5%         | 22.9%         |
| <b>Pro forma adjustments</b>        |               |               |               |
| 5 Rent adjustment                   | (768)         | (764)         | (829)         |
| 6 SR&ED income removal              | -             | (758)         | (586)         |
| Pro forma adjustments               | (768)         | (1,522)       | (1,415)       |
| <b>EBITDA, Pro forma adjusted</b>   | <b>1,118</b>  | <b>2,386</b>  | <b>7,015</b>  |
| EBITDA margin, Pro forma adjusted   | 9.7%          | 10.7%         | 19.1%         |

Source: Internal trial balances; KPMG analysis

### Pro forma adjustments

The following adjustments represent our assessment of Management's pro forma adjustments as analyzed during the diligence process.

- Rent adjustment:** An adjustment has been made to represent the run-rate rent cost over the historical period. Please note the following run-rate assumed that the 190 Ronson lease will be sublet at some point, which has not yet occurred as the Company is still incurring costs for the rent of this facility.

| Adjustment Calculation - Rent Run Rate |              |              |              |
|----------------------------------------|--------------|--------------|--------------|
|                                        |              | TTM          |              |
| \$'000                                 | FY17         | FY18         | Jan-19       |
| Historical occupancy costs             | (457)        | (461)        | (396)        |
| Run rate occupancy cost                | (1,225)      | (1,225)      | (1,225)      |
| <b>Adjustment</b>                      | <b>(768)</b> | <b>(764)</b> | <b>(829)</b> |

Source: Internal trial balances; KPMG analysis

- SR&ED income removal:** A CCPC (Canadian Controlled Private Company) is eligible to claim federal SR&ED credits at a rate of 35% of eligible expenditures, in the form of a cash refund. However, when the Company reaches certain thresholds relating to taxable income/capital, or is controlled by a foreign owner, CCPC status is lost. In this case, only 15% of eligible expenditures are claimable, and are in the form of a tax credit to be applied to taxes payable in future years.

In FY18, the Company claimed the SR&ED credit at 35%, a rate for which they will not be eligible moving forward as the Company is projected to lose CCPC status post-acquisition. Going forward, the Company will only be eligible for tax credits that can only be applied against future taxes payable, as opposed to cash refunds. Given this, and to be consistent with the definition of EBITDA, we have proposed an adjustment to remove all SR&ED income/expense offsets from EBITDA.

Additionally, through tax due diligence, we have identified potential exposures that 50% or more of SR&ED claims made may be ineligible. Please refer to the tax due diligence section for further information.

# Supporting Analysis

## Quality of earnings (5) – Other considerations

### Other considerations

The following adjustments include potential Quality of Earnings considerations identified during due diligence. These items relate to other potential business issues that should be considered in the overall evaluations of the business. In addition, these items may be subjective in nature – and as a result, have not been included in the Quality of Earnings schedule.

- Velicept margin:** Project VEL2001 and VEL2002 have primarily driven revenue for the TTM Jan-19 period. The below table illustrates the income statement excluding Velicept. Without Velicept, there is a (59.9%) change in EBITDA in TTM Jan-19. As such GPP should consider the concentration of revenue and EBITDA growth that is highly dependent on one customer. Management used estimates to determine allocations of indirect costs associated with Velicept. Please refer to the Appendix 4 for a breakdown of these estimates.

| Income Statement - Without Velicept     |                |
|-----------------------------------------|----------------|
|                                         | TTM            |
| \$'000                                  | Jan-19         |
| Revenue (Without Velicept)              | 12,882         |
| Direct costs (Without Velicept Related) | (556)          |
| <b>Gross profit</b>                     | 12,325         |
| Expenses (without Velicept)             | (9,461)        |
| <b>Net ordinary income</b>              | 2,864          |
| Other income/(expenses)                 | (2,143)        |
| <b>Net income</b>                       | <b>721</b>     |
| <b>EBITDA (With Velicept)</b>           | 7,140          |
| <b>EBITDA (Without Velicept)</b>        | 2,865          |
| <b>% Change</b>                         | <b>(59.9%)</b> |

Source: Management provided information; KPMG analysis

- Vacancies/New hires:** It is our understanding that current headcount is not sufficient to meet current and future growth for FY19. Management has identified future employee hires, however we have not been able to identify what headcount pertains to growth vs. intended to support current operations. As such we have not quantified an adjustment to EBITDA.
- Former CFO – consulting costs:** The former CFO is presently on a consulting arrangement to close on equity investment. Currently, the Company forecasts \$54k for Feb-19 to Jun-19 in consulting expenses. You may wish to consider the impact of this on your valuation model.
- 190 Ronson Dr. Lease:** The Company is currently leasing a property at 190 Ronson Drive. It is our understanding that Management has been unable to sublease this facility. If this continues, Management will incur a cost of \$20k monthly until Nov-19, when the lease expires.
- Potential tax exposures:** Through Tax due diligence, the following potential quantifiable tax exposures have been identified. Please refer to the Tax DD section for further information.

| Summary of potential quantifiable tax exposures |              |                 |                        |
|-------------------------------------------------|--------------|-----------------|------------------------|
| \$'000                                          | Period       | Risk Assessment | Estimated Tax Exposure |
| <b>Canada</b>                                   |              |                 |                        |
| Pre-closing transactions                        | Pre-closing  | N.Q.            | N.Q.                   |
| SR&ED - CCPC status                             | Post-closing | N.Q.            | N.Q.                   |
| SR&ED - technical SR&ED claims - federal        | FY16 - FY18  | Medium to High  | 450 - 600              |
| SR&ED - technical SR&ED claims - provincial     | FY16 - FY18  | Medium to High  | 150 - 200              |
| Contractors in foreign jurisdictions            | FY15 - FY18  | Medium to High  | 300 - 400              |
| Indirect tax - related party transactions       | FY15 - FY18  | Low             | N.Q.                   |
| Indirect tax - input tax credits                | FY15 - FY18  | Low to Medium   | N.Q.                   |
| Permanent Establishment                         | FY15 - FY18  | Low             | N.Q.                   |
| <b>Canada total</b>                             |              |                 | <b>1,050 - 1,350</b>   |



# Supporting analysis

*Net working  
capital*



# Supporting Analysis

## Stratified balance sheet

| Stratified Balance Sheet Statement       |           |           |           |                                         |       |          |        |
|------------------------------------------|-----------|-----------|-----------|-----------------------------------------|-------|----------|--------|
| \$'000                                   | 30-Jun-17 | 30-Jun-18 | 31-Jan-19 | Stratification as at 31st January, 2019 |       |          |        |
|                                          |           |           |           | NWC                                     | PPE   | Net Debt | Others |
| Assets                                   |           |           |           |                                         |       |          |        |
| Cash / LOC                               | 1,259     | (936)     | (1,196)   | -                                       | -     | (1,196)  | -      |
| Accounts receivable                      | 2,110     | 4,740     | 4,178     | 4,178                                   | -     | -        | -      |
| Prepaid                                  | 178       | 114       | 980       | 980                                     | -     | -        | -      |
| Current assets                           | 3,547     | 3,918     | 3,962     | 5,158                                   | -     | (1,196)  | -      |
| Property plant and equipment             | 376       | 451       | 656       | -                                       | 656   | -        | -      |
| Intangible assets                        | 2,438     | 3,408     | 4,107     | -                                       | 4,107 | -        | -      |
| Related party - thinkworks               | 245       | 3,765     | 7,430     | -                                       | -     | 7,430    | -      |
| Related party - j2asm                    | 162       | 451       | 2,122     | -                                       | -     | 2,122    | -      |
| Related party - 3rd party                | -         | -         | 169       | -                                       | -     | 169      | -      |
| Due to director                          | -         | -         | 14        | -                                       | -     | 14       | -      |
| Non-current assets                       | 3,221     | 8,076     | 14,497    | -                                       | 4,763 | 9,734    | -      |
| Total assets                             | 6,767     | 11,993    | 18,459    | 5,158                                   | 4,763 | 8,538    | -      |
| Liabilities and shareholder's fund       |           |           |           |                                         |       |          |        |
| Accounts payable and accrued liabilities | (1,837)   | (5,179)   | (7,758)   | (7,758)                                 | -     | -        | -      |
| Obligations under capital lease          | (37)      | (63)      | (176)     | (176)                                   | -     | -        | -      |
| Notes payable                            | (68)      | (5)       | (303)     | -                                       | -     | (303)    | -      |
| Deferred revenue / customer deposits     | (666)     | (214)     | (147)     | (147)                                   | -     | -        | -      |
| Current liabilities                      | (2,608)   | (5,461)   | (8,384)   | (8,081)                                 | -     | (303)    | -      |
| Corporate taxes                          | 541       | 862       | 550       | -                                       | -     | -        | 550    |
| Obligations under capital lease - LT     | (56)      | (90)      | (250)     | -                                       | -     | (250)    | -      |
| Notes payable - LT                       | (1,857)   | (2,480)   | (1,861)   | -                                       | -     | (1,861)  | -      |
| Non-current liabilities                  | (1,371)   | (1,709)   | (1,562)   | -                                       | -     | (2,112)  | 550    |
| Total liabilities                        | (3,979)   | (7,170)   | (9,947)   | (8,081)                                 | -     | (2,415)  | 550    |
| Net assets                               | 2,788     | 4,823     | 8,513     | (2,923)                                 | 4,763 | 6,123    | 550    |

Source: Management provided information; KPMG analysis

### Net working capital

- **Accounts Receivable:** Includes accounts receivable, allowance for doubtful accounts, and work in progress.
- **Prepaid:** Includes employee advances, IT services, leases, deposits, and miscellaneous expenses.
- **Accounts payable and accrued liabilities:** Includes accruals relating to wages & salaries, previous vendors. The key driver is the Veliccept commission accrual.

### PP&E

- **Property, plant and equipment, net:** Primarily represents computer hardware of \$656 million, leasehold improvements of \$18 million, and office furniture and equipment of \$251 million.
- **Intangible assets:** Includes proprietary computer software.

### Net debt

- **Related party:**
  - **Thinkworks:** represents business aviation investment, depending on usage of the private jet and a personal withdrawal of \$2.4 million by the CEO/Co-Founder Andrew Schachter.
  - **J2ASM:** Includes incremental construction costs for the interior of the corporation building.
  - **3<sup>rd</sup> party:** Includes a monthly dividend of \$20,000 issued to the CEO/Co-Founder.
- **Obligations under capital lease:** The Company has entered into leases for certain furniture and equipment that have been capitalized.
- **Notes payable:** Bank term loan bearing interest at the rate of prime + 1.75% per annum with monthly principal repayments of \$40,000 plus interest to maturity on March 12, 2023.

# Supporting Analysis

## Net working capital (1) – Overview

| Net working capital                              |              |              |                |            |              |                |
|--------------------------------------------------|--------------|--------------|----------------|------------|--------------|----------------|
| \$'000                                           | As at        |              |                | Average    |              |                |
|                                                  | Jun-17       | Jun-18       | Jan-19         | FY17       | FY18         | TTM Jan-19     |
| <b>Net working capital, reported</b>             | <b>(253)</b> | <b>(602)</b> | <b>(2,923)</b> | <b>457</b> | <b>(185)</b> | <b>(2,233)</b> |
| Potential adjustments                            | 175          | 256          | 292            | 126        | 197          | 274            |
| <b>Net working capital, potentially adjusted</b> | <b>(78)</b>  | <b>(346)</b> | <b>(2,631)</b> | <b>584</b> | <b>11</b>    | <b>(1,959)</b> |
| Total pro forma adjustments                      | 311          | 395          | 135            | 26         | 267          | 241            |
| <b>Net working capital, pro forma adjusted</b>   | <b>233</b>   | <b>49</b>    | <b>(2,496)</b> | <b>610</b> | <b>279</b>   | <b>(1,718)</b> |
| Adjusted WC, as a % of net sales                 | 0.5%         | 0.1%         | (6.8%)         | 1.3%       | 0.4%         | (1.7%)         |

Source: Management provided information; KPMG analysis

### Basis of Presentation

The above net working capital normalization schedule summarizes potential adjustments to be considered for the years ended June 30, 2017 and 2018, as well as the period ended TTM Jan-19.

Such proposed adjustments are not deemed to be all inclusive. The validity of these potential adjustments and other factors raised for your consideration may require further investigation to understand the potential impact on the valuation model.

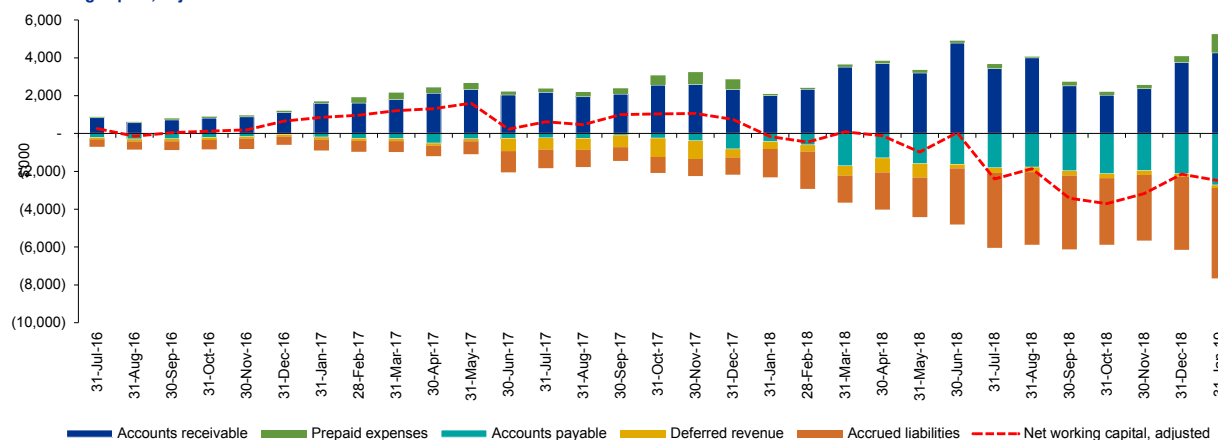
### Overview

- The net working capital schedule illustrates due diligence adjustments and other factors to be considered for the fiscal year ended June 30, 2017, June 30, 2018 and as at January 31, 2019.
- Such proposed adjustments are not deemed to be all inclusive. The validity of these adjustments and other factors raised for your consideration may require further investigation to understand the potential impact on the valuation model.
- Significant adjustments are discussed further on the following pages.

### Net working capital adjustment overview

- For the 12 months ended January 31, 2019, average reported net working capital was approximately \$(2.2) million. Subsequent to potential and pro forma adjustments, average net working capital increases to approximately \$(1.7) million. See the following pages for detailed views of the adjustments.
- The decline in the NWC balance in FY18 and FY19 YTD primarily relates to accruals relating to Velicept site payments, consistent with the growth of business with the customer.
- There is no observable seasonality.

Net working capital, adjusted



Source: trial balances provided by Management; KPMG analysis

## Supporting Analysis

## Net working capital (2) – Potential adjustments

| Net working capital, Detail                      |              |              |                |            |              |                |
|--------------------------------------------------|--------------|--------------|----------------|------------|--------------|----------------|
| \$'000                                           | As at        |              |                | Average    |              |                |
|                                                  | Jun-17       | Jun-18       | Jan-19         | FY17       | FY18         | TTM Jan-19     |
| <b>Current assets</b>                            |              |              |                |            |              |                |
| Accounts receivable                              | 2,043        | 4,796        | 4,272          | 1,376      | 2,778        | 3,336          |
| Taxes Payable                                    | 67           | (55)         | (94)           | 59         | 53           | (16)           |
| Prepaid expenses                                 | 178          | 114          | 980            | 162        | 257          | 228            |
| Total current assets                             | 2,288        | 4,854        | 5,158          | 1,597      | 3,088        | 3,548          |
| <b>Current liabilities</b>                       |              |              |                |            |              |                |
| Accounts payable                                 | (713)        | (2,220)      | (2,984)        | (348)      | (1,211)      | (2,222)        |
| Accrued liabilities                              | (1,123)      | (2,959)      | (4,774)        | (569)      | (1,432)      | (3,142)        |
| Obligations under capital lease                  | (37)         | (63)         | (176)          | (58)       | (32)         | (78)           |
| Deferred revenue                                 | (666)        | (214)        | (147)          | (164)      | (598)        | (339)          |
| Total current liabilities                        | (2,540)      | (5,456)      | (8,081)        | (1,140)    | (3,273)      | (5,781)        |
| <b>Net working capital, reported</b>             | <b>(253)</b> | <b>(602)</b> | <b>(2,923)</b> | <b>457</b> | <b>(185)</b> | <b>(2,233)</b> |
| <b>Potential adjustments</b>                     |              |              |                |            |              |                |
| 1 Non-operational items                          | 175          | 256          | 292            | 126        | 197          | 274            |
| Potential adjustments                            | 175          | 256          | 292            | 126        | 197          | 274            |
| <b>Net working capital, potentially adjusted</b> | <b>(78)</b>  | <b>(346)</b> | <b>(2,631)</b> | <b>584</b> | <b>11</b>    | <b>(1,959)</b> |
| <b>Pro forma adjustments</b>                     |              |              |                |            |              |                |
| 2 Private jet NWC adjustment                     | 311          | 395          | 135            | 26         | 267          | 241            |
| Total pro forma adjustments                      | 311          | 395          | 135            | 26         | 267          | 241            |
| <b>Net working capital, pro-forma adjusted</b>   | <b>233</b>   | <b>49</b>    | <b>(2,496)</b> | <b>610</b> | <b>279</b>   | <b>(1,718)</b> |
| As % of TTM net sales                            | 0.5%         | 0.1%         | (6.8%)         | 1.3%       | 0.4%         | (1.7%)         |

Source: Management provided information; KPMG analysis

## Potential adjustments

- Non-operational items:** Adjustment removes non-operational items out of NWC including income taxes payable and the current portion of the capital lease. Please refer to the table below for further detail.

| Non-operational items             |            |            |            |            |            |            |
|-----------------------------------|------------|------------|------------|------------|------------|------------|
| \$'000                            | As at      |            |            | Average    |            |            |
|                                   | Jun-17     | Jun-18     | Jan-19     | FY17       | FY18       | TTM Jan-19 |
| 1 Income tax payable              | 137        | 193        | 116        | 68         | 165        | 196        |
| 2 Obligations under capital lease | 37         | 63         | 176        | 58         | 32         | 78         |
| <b>Total</b>                      | <b>175</b> | <b>256</b> | <b>292</b> | <b>126</b> | <b>197</b> | <b>274</b> |

Source: Management provided information; KPMG analysis

## Pro forma adjustments

- Private jet NWC adjustment:** It is our understanding that Axiom pays for all private jet costs and then subsequently allocates out the proportionate cost used by the other entities (Thinkworks and J2ASM) out of their P&L. It is our understanding that this arrangement will cease upon closing as each entity will pay for their own costs up-front. As such, the proposed adjustment estimates the payables impact of the non-Axiom costs, and removes them from the historical period.



# Supporting analysis

*Net debt*

# Supporting Analysis

## Net debt

| Net debt                                  |              |
|-------------------------------------------|--------------|
|                                           | As at        |
| \$'000                                    | Jan-19       |
| 1 Cash / LOC                              | (1,196)      |
| 2 Obligations under capital lease         | (250)        |
| 3 Notes payable                           | (2,164)      |
| 4 Related party receivable - thinkworks   | 7,430        |
| 5 Related party receivable - j2asm        | 2,122        |
| 6 Related party receivable - 3rd party    | 169          |
| 7 Due to director                         | 14           |
| <b>Net debt, reported</b>                 | <b>6,123</b> |
| <b>Potential adjustments</b>              |              |
| 8 Income tax payable                      | (116)        |
| 9 Current obligations under capital lease | (176)        |
| Potential adjustments                     | (292)        |
| <b>Net debt, potentially adjusted</b>     | <b>5,831</b> |
| <b>Other Considerations</b>               |              |
| A Velicept site payments                  | (...)        |
| B Related party loan guarantor            | (...)        |
| C 190 Ronson lease                        | (...)        |
| D Potential tax exposures                 | (...)        |

Source: Management provided information; KPMG analysis

### Net debt, reported

- Notes payable:** Bank term loan bearing interest at the rate of prime + 1.75% per annum with monthly principal repayments of \$40,000 plus interest to maturity on March 12, 2023.

**Related party receivables:** The balances listed below are unsecured, non-interest bearing and not repayable within a year as agreed to by all related parties.

- Thinkworks:** Represents business aviation investment, depending on usage of the private jet and a personal withdrawal of \$2.4 million by the CEO/Co-Founder Andrew Schachter.
- J2ASM:** Includes incremental construction costs for the interior of the corporation building.
- 3<sup>rd</sup> party:** Includes a monthly dividend of \$20,000 issued to the CEO/Co-Founder.

### Potential adjustments

- Income tax payable:** Adds income taxes payable to net debt.
- Current obligations under capital lease:** Similar to above, adds current portion of the capital lease obligation to net debt.

### Other considerations

- Velicept site payments:** The Company accrues payments related to site visit costs based on number of visits of the end of the month per system output. Invoices are received subsequently from various sites for the actual costs, which Management represents may arrive 1-3 months later, and may differ from the costs accrued. As VEL2001 and VEL2002 projects wind down, there may be a mismatching of billings to Velicept and costs invoiced from the sites. You should ensure that you are not responsible for any site payments to be made, for which Axiom has received the revenue. As of Dec-18, the accrued balance is \$2.4 million.
- Related Party loan guarantor:** The Company is the unlimited guarantor of a related company's loan facility of \$7.7 million.
- 190 Ronson lease:** The Company has indicated that the 190 Ronson office location is vacant, but noted they have attempted to sublease the building, but have not found tenants yet. As we have made a pro forma adjustment assuming the sublease, you may wish to consider making the remaining lease costs of \$20K/month to Nov-19 the responsibility of the Seller in the purchase price, for the months remaining after close.
- Potential tax exposures:** Refer to the QofE – Other Considerations and Tax Due Diligence for a summary of potential tax exposures identified.



# Supporting analysis

*Financial  
performance*

## Financial Performance

## Signed customer analysis – forecast vs actual

| Signed customers - FY18 forecast as of Jun-17 vs actuals |                       |               |               |                     |
|----------------------------------------------------------|-----------------------|---------------|---------------|---------------------|
| \$'000                                                   | FY18                  |               |               |                     |
|                                                          | Forecast as of Jun-17 | Actuals       | Variance      | % forecast achieved |
| Velicept                                                 | 2,024                 | 13,694        | 11,671        | 676.7%              |
| Microvention                                             | 787                   | 646           | (142)         | 82.0%               |
| Anika                                                    | 645                   | 841           | 196           | 130.4%              |
| Fortress / Avenue                                        | 491                   | 293           | (198)         | 59.6%               |
| Vitals                                                   | 398                   | 724           | 327           | 182.1%              |
| Sequent                                                  | 330                   | 669           | 339           | 202.5%              |
| Flexion                                                  | 321                   | 761           | 440           | 236.9%              |
| Lotus                                                    | 314                   | 854           | 540           | 271.7%              |
| Cmx                                                      | 298                   | 156           | (142)         | 52.4%               |
| Prometheus                                               | 244                   | 392           | 148           | 160.9%              |
| <b>Top 10 forecasted</b>                                 | <b>5,853</b>          | <b>19,031</b> | <b>13,178</b> | <b>325.2%</b>       |
| Others                                                   | 973                   | 2,326         | 1,353         | 239.1%              |
| <b>Total</b>                                             | <b>6,826</b>          | <b>21,358</b> | <b>14,532</b> | <b>312.9%</b>       |
| <b>Total w/ o Velicept</b>                               | <b>4,802</b>          | <b>7,663</b>  | <b>2,861</b>  | <b>159.6%</b>       |

Source: Revenue by customer schedules; KPMG analysis

| Signed customers - T11M Dec-18 forecast as of Jan-18 vs actuals |                       |               |              |                     |
|-----------------------------------------------------------------|-----------------------|---------------|--------------|---------------------|
| \$'000                                                          | T11M Dec-18           |               |              |                     |
|                                                                 | Forecast as of Jan-18 | Actuals       | Variance     | % forecast achieved |
| Velicept                                                        | 16,214                | 21,721        | 5,506        | 134.0%              |
| Microvention                                                    | 888                   | 1,662         | 774          | 187.1%              |
| Osmotica                                                        | 858                   | 1,640         | 782          | 191.2%              |
| Vitals                                                          | 396                   | 476           | 80           | 120.3%              |
| Tolmar                                                          | 384                   | 831           | 447          | 216.5%              |
| Flexion                                                         | 356                   | 842           | 486          | 236.5%              |
| Prometheus                                                      | 327                   | 117           | (210)        | 35.8%               |
| Achillion Pharmaceuticals, Inc.                                 | 309                   | 189           | (120)        | 61.2%               |
| Sequent                                                         | 296                   | 496           | 201          | 168.0%              |
| Anika                                                           | 278                   | 582           | 305          | 209.6%              |
| <b>Top 10 forecasted</b>                                        | <b>20,306</b>         | <b>28,557</b> | <b>8,251</b> | <b>140.6%</b>       |
| Others                                                          | 1,058                 | 1,555         | 497          | 147.0%              |
| <b>Total</b>                                                    | <b>21,364</b>         | <b>30,112</b> | <b>8,748</b> | <b>140.9%</b>       |
| <b>Total w/ o Velicept</b>                                      | <b>5,149</b>          | <b>8,391</b>  | <b>3,242</b> | <b>163.0%</b>       |

Source: Revenue by customer schedules; KPMG analysis

## Overview

- The above table illustrates the variances between actual and forecasted revenues for signed customers in FY18 and T11M Dec-18.
- For customers that were signed at the start of the forecast period, the Company achieved 312.9% and 140.9% of forecasted revenues in FY18 and T11M Dec-18 respectively.
  - This was primarily driven by the customer Velicept in FY18, as the customer achieved 676.7% of budget. However, the Company was still able to surpass budget for other signed customers, and achieved 159.6% of forecast.

# Financial Performance

## Customer analysis – Top earners

| Top 10 Clients               |               |               |               |               |                    |  |
|------------------------------|---------------|---------------|---------------|---------------|--------------------|--|
| \$'000                       |               |               |               | YOY % Δ       |                    |  |
|                              | FY17          | FY18          | TTM Dec-18    | FY17 to FY18  | FY18 to TTM Dec-18 |  |
| Velicept                     | 863           | 13,694        | 23,215        | 1,486.3%      | 69.5%              |  |
| Microvention, Inc.           | 1,475         | 646           | 1,678         | (56.2%)       | 159.8%             |  |
| Osmotica Pharmaceutical, Inc | -             | 873           | 1,640         | -             | 87.8%              |  |
| ATYR                         | -             | -             | 1,052         | -             | -                  |  |
| Flexion Therapeutics, Inc    | 1,147         | 761           | 966           | (33.7%)       | 27.0%              |  |
| Tolmar                       | 374           | 550           | 831           | 47.0%         | 51.2%              |  |
| Anika Therapeutics           | 836           | 841           | 689           | 0.6%          | (18.2%)            |  |
| Lotus CRO                    | 510           | 854           | 655           | 67.7%         | (23.3%)            |  |
| Vital Therapies              | 1,225         | 724           | 538           | (40.9%)       | (25.7%)            |  |
| Sequent Medical Inc          | 463           | 669           | 525           | 44.7%         | (21.5%)            |  |
| <b>Top 10 Clients</b>        | <b>6,892</b>  | <b>19,613</b> | <b>31,789</b> | <b>184.6%</b> | <b>62.1%</b>       |  |
| Others                       | 4,586         | 2,735         | 3,163         | (40.4%)       | 15.7%              |  |
| <b>Total Clients</b>         | <b>11,479</b> | <b>22,348</b> | <b>34,952</b> | <b>94.7%</b>  | <b>56.4%</b>       |  |

Source: Revenue by customer schedules; KPMG analysis

| Sales and gross margin by customer stratification category |                         |           |            |               |               |               |               |               |               |
|------------------------------------------------------------|-------------------------|-----------|------------|---------------|---------------|---------------|---------------|---------------|---------------|
| \$'000s                                                    | # of customers (actual) |           |            | Sales \$      |               |               | % of sales    |               |               |
|                                                            | FY17                    | FY18      | TTM Dec-18 | FY17          | FY18          | TTM Dec-18    | FY17          | FY18          | TTM Dec-18    |
| \$3m +                                                     | -                       | 1         | 1          | -             | 13,694        | 23,215        | -             | 61.3%         | 66.4%         |
| \$1.0m - \$2.0m                                            | 5                       | -         | 3          | 5,990         | -             | 4,370         | 52.2%         | -             | 12.5%         |
| \$0.5m - \$1.0m                                            | 3                       | 8         | 6          | 2,209         | 5,919         | 4,204         | 19.2%         | 26.5%         | 12.0%         |
| \$0.25m - \$0.5m                                           | 6                       | 3         | 3          | 2,088         | 1,081         | 1,087         | 18.2%         | 4.8%          | 3.1%          |
| below \$0.25m                                              | 17                      | 17        | 23         | 1,192         | 1,654         | 2,077         | 10.4%         | 7.4%          | 5.9%          |
| <b>Total per database</b>                                  | <b>31</b>               | <b>29</b> | <b>36</b>  | <b>11,479</b> | <b>22,348</b> | <b>34,952</b> | <b>100.0%</b> | <b>100.0%</b> | <b>100.0%</b> |

Source: Revenue by customer schedules; KPMG analysis

| New, lost and existing customer summary |                |             |                     |               |               |               |
|-----------------------------------------|----------------|-------------|---------------------|---------------|---------------|---------------|
| \$'000                                  | # of customers |             | Revenue impact (\$) |               | % of revenue  |               |
|                                         | FY18           | TTM Dec-18  | FY18                | TTM Dec-18    | FY18          | TTM Dec-18    |
| Existing customers                      | 31             | 29          | 11,479              | 22,348        | 51.4%         | 63.9%         |
| New customers                           | 5              | 7           | 1,927               | 2,767         | 8.6%          | 7.9%          |
| Lost customers                          | (7)            | -           | (454)               | (33)          | (2.0%)        | (0.1%)        |
| Total new/(lost) customers              | (2)            | 7           | 1,473               | 2,734         | 6.6%          | 7.8%          |
| \$ Growth in existing customers         | n.a.           | n.a.        | 9,397               | 9,870         | 42.0%         | 28.2%         |
| <b>Total ending revenue</b>             | <b>n.a.</b>    | <b>n.a.</b> | <b>22,348</b>       | <b>34,952</b> | <b>100.0%</b> | <b>100.0%</b> |

Source: Revenue by customer schedules; KPMG analysis

### Top 10 client analysis

Total client revenue increased to \$34.9 million in TTM Dec-18 from \$11.4 million in FY17. However, only three clients increased revenues from FY18 to TTM Dec-18. Some highlights include:

- Velicept:** Since its first trial in 2017 the Company has continued to receive business from Velicept, currently working on two US-based phase II studies. In TTM Dec-18, Velicept accounted for 66.4% of total revenue. As of the date of this report, we understand the Company is currently negotiating Phase III studies with Velicept.
- Microvention, Inc.:** Increased revenue to \$1.6 million in TTM Dec-18 from \$0.6 million in FY18, with a YoY change of 159.8%. The Company has been awarded three studies over the last 12 months and they expect three new programs to start in FY19.

### Customer stratification category analysis

As shown in the adjacent table, the Company's revenue during the TTM Dec-18 period, was primarily driven by one client that provided greater than \$3 million in revenue (\$23.5 million), followed by three clients that provided \$1.0 million - \$2.0 million (\$4.3 million), and followed by six clients between \$0.5 million - \$1.0 million (\$4.2 million). The one customer in the \$3 million + bucket is Velicept which as mentioned previously accounts for 66.4% of total TTM Dec-18 revenues.

### New, lost and existing customer summary

The adjacent table illustrates the \$23.5 million increase from FY17 to TTM Dec-18 the drivers were the following:

- Existing customers contributed \$19.3 million to the increase in revenue;
- New customers led to an increase in revenue of \$4.7 million in revenue.
- Lost customers led to a decrease in revenue of (\$0.5) million in revenue.

Furthermore, the trend observed is that existing customers have made up more than half of the revenue, whereas customers gained or lost have accounted for no more than 8%.



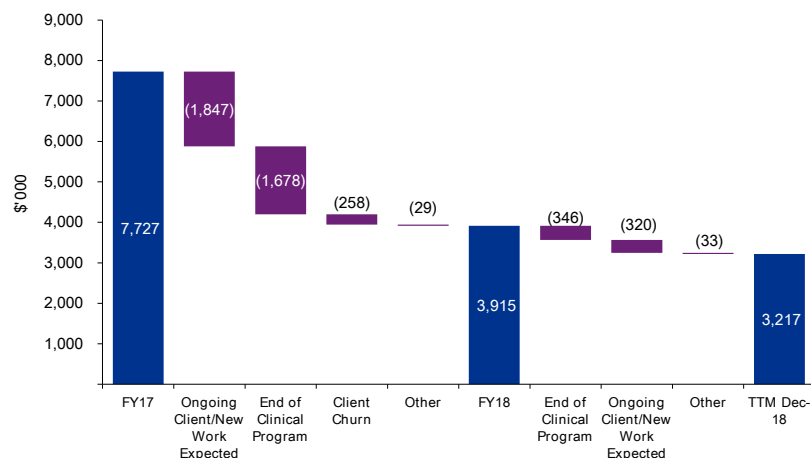
# Financial Performance

## Customer analysis – Revenue decliners

| Revenue decliners by customer         |              |              |              |                   |
|---------------------------------------|--------------|--------------|--------------|-------------------|
| \$'000s                               | Revenue      |              |              | Change            |
|                                       | FY17         | FY18         | TTM Dec-18   | FY17 - TTM Dec-18 |
| Beigene                               | 1,131        | 168          | 78           | (1,052)           |
| Therapeutics Md                       | 1,012        | 92           | 55           | (958)             |
| Vital Therapies                       | 1,225        | 724          | 538          | (687)             |
| Idera Pharmaceuticals, Inc.           | 257          | (0)          | -            | (257)             |
| Prometheus Therapeutics & Diagnostics | 360          | 392          | 156          | (204)             |
| Axonics Modulation Technologies, Inc. | 312          | 115          | 114          | (199)             |
| Flexion Therapeutics, Inc             | 1,147        | 761          | 966          | (181)             |
| Polyphor Ltd                          | 322          | 194          | 165          | (157)             |
| Anika Therapeutics                    | 836          | 841          | 689          | (148)             |
| Ekso Bionics                          | 162          | 70           | 70           | (91)              |
| Top 10 decliners                      | 6,765        | 3,358        | 2,831        | (3,934)           |
| Other                                 | 963          | 558          | 386          | (577)             |
| <b>Total</b>                          | <b>7,727</b> | <b>3,915</b> | <b>3,217</b> | <b>(4,511)</b>    |

Source: Revenue by customer schedules; KPMG analysis

### Revenue decline by category



Source: Management provided information, KPMG analysis

### Top 10 client decliners

The adjacent table illustrates top client decliners, some of the highlights include:

- Beigene:** The decline was due to Beigene discontinuing a few of their studies. Subsequent to a change in management, Beigene decided to manage studies internally.
- Therapeutics MD:** Client continues to work with the Company, however they are waiting for them to start work on their new drug compound which will occur later in the fiscal year.
- Vital Therapies:** Decline due to an unsuccessful phase III trial, which resulted in the closure of clinical trials in 2018.
- Idera Pharmaceuticals Inc.:** The Company decided to end the relationship with this client due to disagreement on team engagement.
- Prometheus Therapeutics & Diagnostics:** Programs were closed and the Company is waiting on information regarding trials for FY19.

The adjacent graph bridges the decline in revenue by categorizing the movements into different reasons behind decline. Some of the highlights include:

- Ongoing client/New Work expected:** As per Management representation, the biggest driver in the decline was timing in between clinical trials from their clients.
- End of clinical trial:** As illustrated in the adjacent graph, one of the biggest drivers behind the decline in revenue was clinical trials coming to an end. This accounted for roughly 45% of the decline from FY17 to TTM Dec-18.
- Client Churn:** The last major category in the decline in revenue was client churn, most of which was due to one customer (Idera) leaving after FY17.

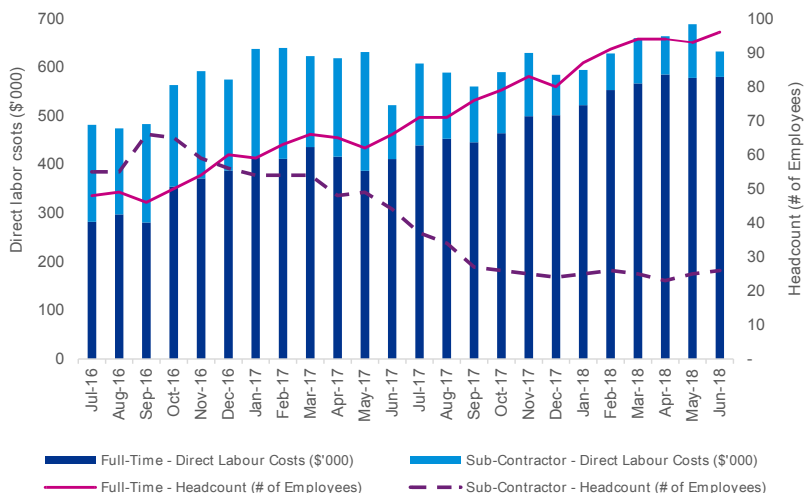
# Financial Performance

## Headcount analysis

| Average wage/ benefits by head |                   |           |           |                 |              |              |                                 |           |           |
|--------------------------------|-------------------|-----------|-----------|-----------------|--------------|--------------|---------------------------------|-----------|-----------|
| \$'000                         | Average headcount |           |           | Wages/ Benefits |              |              | Average Wages/ Benefits per FTE |           |           |
|                                | YTD               |           |           | YTD             |              |              | YTD                             |           |           |
|                                | FY17              | FY18      | Dec-18A   | FY17            | FY18         | Dec-18A      | FY17                            | FY18      | Dec-18A   |
| Ops                            | 45                | 62        | 78        | 2,957           | 3,876        | 5,444        | 66                              | 63        | 70        |
| S&M                            | 4                 | 7         | 5         | 695             | 1,078        | 959          | 164                             | 160       | 186       |
| R&D                            | 3                 | 5         | 5         | 287             | 398          | 457          | 93                              | 77        | 102       |
| Admin                          | 5                 | 11        | 11        | 509             | 836          | 985          | 98                              | 78        | 92        |
| <b>Grand Total</b>             | <b>57</b>         | <b>85</b> | <b>98</b> | <b>4,448</b>    | <b>6,188</b> | <b>7,845</b> | <b>78</b>                       | <b>73</b> | <b>80</b> |

Note: FY19 amounts have been estimated by annualizing YTD Dec-18 figures.

Full-Time Employee vs Sub-Contractor - Headcount vs Labor Costs Trend



Source: Management provided information; KPMG analysis

### Average wages/benefits by head

- The adjacent chart illustrates the linear relationship between the Company's total headcount (in absolute number of employees) and direct labor costs (\$'000) by department.
- The increase in average headcount from 57 in FY17 to 98 in YTD Dec-18A was due to the increase in Operations, specifically project managers to assist in Veliccept projects; Project VEL2001 and VEL2002.
- The increase in average wages/benefits per FTE was primarily driven by the increase in S&M employees from FY17 to YTD Dec-18A.

### Full-time employee vs sub-contractor: headcount vs labor costs

The adjacent chart illustrates (1) the increasing headcount of full-time employees, and the subsequent increase in full-time employee direct labor costs, and (2) the decreasing headcount of sub-contractor employees and the subsequent decrease in sub-contractor direct labor costs.

- Sub-contractor employee labor costs decreased approximately \$1.1 million from FY17 to FY18. This was driven by a decrease of 336 in the headcount of subcontractor employees from FY17 to FY18.
- Full-time employee labor costs increased approximately \$1.7 million from FY17 to FY18. This was driven by an increase of 327 in the headcount of full-time employees from FY17 to FY18.
- One of the drivers behind the decrease in costs of sub-contractors was due to the transition of employees to a full-time capacity. Our analysis showed that 30 employees were transitioned from sub-contractor to full-time.
- The below chart illustrates employee turnover from FY17 to LTM Dec-18. Attrition increased to 180% in TTM Dec-18 from 67% in FY17, primarily due to the increase in new employees.

| Employee Attrition      |            |             |             |
|-------------------------|------------|-------------|-------------|
| \$'000                  | LTM        |             |             |
|                         | FY17       | FY18        | Dec-2018    |
| Beginning Headcount     | 46         | 46          | 46          |
| Lost Employees          | 20         | 7           | 0           |
| New Employees           | 0          | 49          | 72          |
| Variable Employees      | 11         | 1           | 11          |
| <b>Ending Headcount</b> | <b>77</b>  | <b>103</b>  | <b>129</b>  |
| <b>Attrition %</b>      | <b>67%</b> | <b>124%</b> | <b>180%</b> |

Source: Management provided information; KPMG analysis

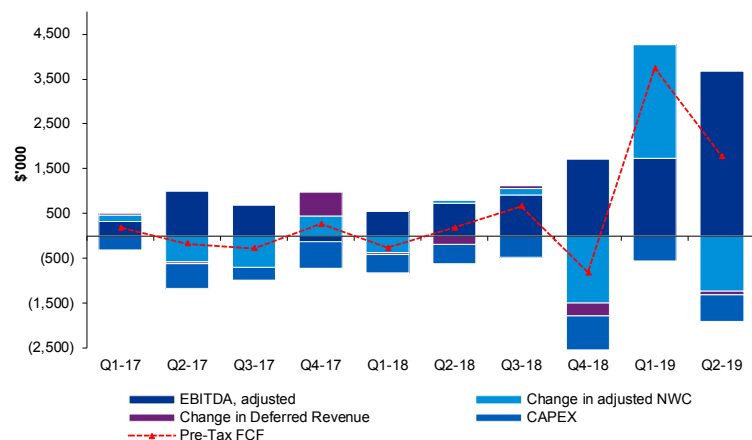
## Financial Performance

## Indicative pre-tax free cash flow - adjusted

| Pre-Tax FCF (Adjusted Basis)      |                |                |                |
|-----------------------------------|----------------|----------------|----------------|
| \$'000                            | FY17           | FY18           | TTM Jan-19     |
| <b>EBITDA, adjusted</b>           | <b>1,886</b>   | <b>3,908</b>   | <b>8,430</b>   |
| <b>Current assets</b>             |                |                |                |
| Accounts Receivable               | (1,203)        | (2,753)        | (2,256)        |
| Tax Receivable                    | 22             | 122            | 161            |
| Prepaid Expenses                  | (143)          | 64             | (907)          |
| Total Current Assets              | (1,324)        | (2,566)        | (3,003)        |
| <b>Current liabilities</b>        |                |                |                |
| Accounts Payable                  | 53             | 1,367          | 2,297          |
| Accrued Liabilities               | 569            | (452)          | (237)          |
| Total Current Liabilities         | 622            | 915            | 2,060          |
| <b>Change in adjusted NWC</b>     | <b>(702)</b>   | <b>(1,652)</b> | <b>(942)</b>   |
| <b>Change in Deferred Revenue</b> | <b>569</b>     | <b>(452)</b>   | <b>(237)</b>   |
| <b>CAPEX</b>                      | <b>(1,748)</b> | <b>(2,039)</b> | <b>(2,366)</b> |
| <b>Pre-Tax FCF</b>                | <b>4</b>       | <b>(234)</b>   | <b>4,884</b>   |
| <b>Revenue (adjusted)</b>         | <b>11,469</b>  | <b>22,356</b>  | <b>36,785</b>  |
| <b>As a % of revenue</b>          | <b>0.0%</b>    | <b>(1.0%)</b>  | <b>13.3%</b>   |

Source: Management provided information, KPMG analysis

## Indicative pre-tax adjusted free cash flow



Source: Management provided information, KPMG analysis

## Indicative pre-tax free cash flow build up

An indicative cash flow analysis is presented in the adjacent table to illustrate the overall operating performance of the Company. Each component is described in greater detail below:

- **EBITDA, adjusted:** Consistent with the QofE analysis, the EBITDA figure presented here includes potential adjustments relating to non-recurring items identified during the course of due diligence. Refer to the QofE section for further detail on the nature of the adjustments.
- **Change in adjusted net working capital:** Similar to the EBITDA included in this analysis, the NWC changes are calculated from the adjusted NWC figures post potential and definitional adjustments. Refer to the net working capital analysis for further.
- **Change in Deferred Revenue:** Represents the changes in deferred revenue in the historical period, as any increases in deferred revenue would signify cash was received for work to be performed later.

## Trending

- During the historical period, one of the biggest factors reducing FCF was CAPEX. As a result of the growth in revenue, increased expenditure on internally developed software was required to support operations. In addition, the fluctuations in NWC were attributed to the site payments and commissions related to the Velicept contract.



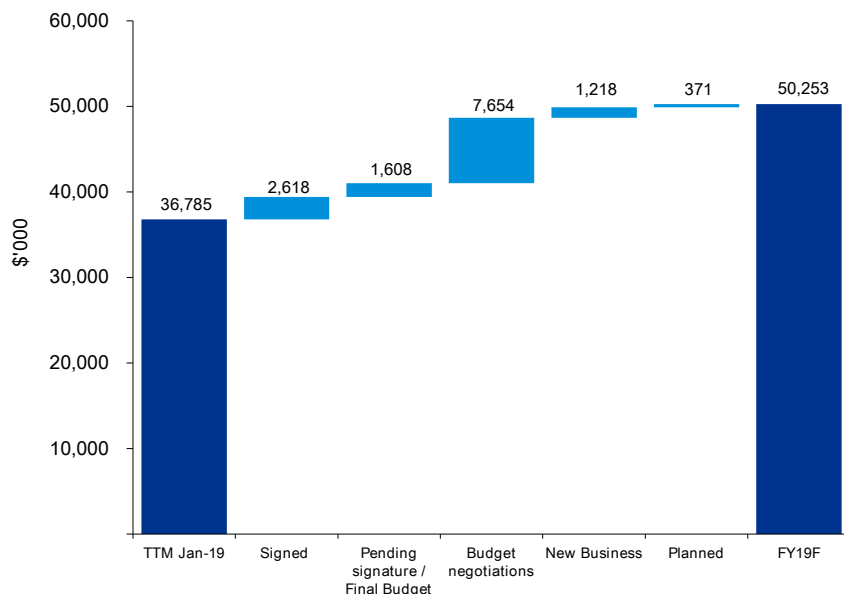
# Supporting Analysis

*FY19 Forecast*

## FY19 Forecast

## Revenue bridge - TTM Jan-19 to FY19 forecast

Revenue Bridge - TTM Jan-19 to FY19 forecast



Source: Revenue by customer schedules; KPMG analysis

## Overview

Revenue is projected to increase to \$50.2 million in FY19 from \$36.7 million in TTM Jan-19. The adjacent table and graph illustrates the bridge from TTM Jan-19 to Management's FY19 forecast.

## Highlights

**Signed:** Signed revenue makes up \$39.4 million, which is 78.4% of the forecasted FY19 revenues. The following three clients comprise 63% of the total signed revenue:

1. **Velicept:** \$17.4 million
2. **Microvention Inc.:** \$3.8 million
3. **Achillion Pharmaceuticals Inc.:** \$3.6 million

**Pending Signature/Final Budget:** Pending signature/final budget revenues make up \$1.6 million, which is 3.2% of forecasted FY19 revenues. The largest client is Microvention Inc. with approximately \$1 million in pending signature/final budget revenue.

**Budget negotiations:** Budget negotiation revenues make up \$7.6 million, which is 15.2% of forecasted FY19 revenues. The key clients in this category are Anika Therapeutics and Flexion Therapeutics Inc., with \$1.22 and \$1.20 million, respectively.

**New business:** New business revenues make up \$1.2 million, which is 2.4% of forecasted FY19 revenues.

**Planned:** Planned revenues make up \$371k, which is 0.7% of forecasted FY19 revenues.



# Supporting Analysis *Tax*

## Supporting Analysis

In determining the status of a particular taxation year, where no notice of assessment ("NOA") was received, the NOA mailing was assumed to be 6 months after the end of the taxation year, consistent with the timing of assessment of taxation years for which NOAs were received.

## Income tax compliance status

- Target's federal and provincial tax returns will, in general terms and subject to certain exceptions noted below, become statute barred in 3 years from the mailing date of the original Notice of Assessment ("NOA") ("normally closed"). Post-closing, Target's federal and provincial tax returns will generally become statute barred in 4 years.

- In determining the status of a particular taxation year, where no notice of assessment ("NOA") was received, the NOA mailing was assumed to be 6 months after the end of the taxation year, consistent with the timing of assessment of taxation years for which NOAs were received.

## Compliance status and audit history

| Period ending                        | FY14 | FY15 | FY16 | FY17 | FY18 |
|--------------------------------------|------|------|------|------|------|
| <b>Axiom Real-Time Metrics, Inc.</b> |      |      |      |      |      |
| Federal income tax                   |      |      |      |      |      |
| Provincial income tax                |      |      |      |      |      |
| SR&ED                                |      |      |      |      |      |
| Sales tax                            |      |      |      |      |      |
| Payroll tax                          |      |      |      |      |      |

Source: FY15-FY17 Notice of Assessments, Management / Tax Advisor representation

|  |                                 |  |                                    |
|--|---------------------------------|--|------------------------------------|
|  | open year - not audited         |  | normally closed year - not audited |
|  | open year - audited/under audit |  |                                    |

- Notwithstanding CCPC status, payroll returns for CPP contributions become normally closed 4 years from the end of the calendar year and payroll tax returns for EI premiums become normally closed 3 years from the end of the calendar year. A taxation year that has been audited may still be adjusted if the adjustments fall within the noted time limits or a waiver extending the reassessment period has been signed. Management represented that no such waivers have been signed.

- Management represented all Target entities have been and continue to be in compliance with tax filings, instalment payments and remittances.

## Audit history

- Target was subject to a technical and financial SR&ED review from the CRA in FY17. Management represented that the review has been delayed but is expected to will commence in May 2019.
- Management represented Target was subject to a review over payroll remittances in FY17 which resulted in a nominal reassessment. Since the review, Management represented that all prior periods have been assessed and the Company has been compliant in its payroll filings.
- Management represented the Company has not been subject to any other income tax and/or sales tax audits in open taxation years other than the above, .

## Third party tax advisory

- Management has represented that the compliance roles and responsibilities as they pertain to tax are as follows:

| Tax compliance - roles and responsibilities |                         |                     |
|---------------------------------------------|-------------------------|---------------------|
|                                             | Internal responsibility | External advisor    |
| Corporate tax compliance                    | ✗                       | ✓ Klasner & Solomon |
| Indirect tax compliance                     | ✓                       | ✗                   |
| SR&ED                                       | ✓                       | ✓ Klasner & Solomon |
| Payroll Tax (CAD)                           | ✗                       | ✓ Ceridian          |

Source: Management and Tax Advisor Representation

Note: ✓ ✗ = Involved / No involvement

# Supporting Analysis

# General tax compliance overview (2)

## Acquisition of control

- When the shares of Target are acquired, there will be an acquisition of control ("AOC") of Axiom for Canadian income tax purposes. The AOC rules will generally result in a deemed taxation year-end for Axiom. Corporate income tax returns for the deemed

### Tax basis in depreciable assets as at FY18

| CAD\$'000s unless otherwise indicated                         | Class | Rate | Method | FY18 UCC     | FY18 UCC     |
|---------------------------------------------------------------|-------|------|--------|--------------|--------------|
| <b>Axiom Real-Time Metrics, Inc.</b>                          |       |      |        |              | <b>USD</b>   |
| Computer software                                             | 12    | 100% | DB     | 998          | 756          |
| Office furniture                                              | 8     | 20%  | DB     | 211          | 160          |
| Leasehold improvement                                         | 13    | NA   | SL     | 78           | 59           |
| Other                                                         |       |      | DB     | 33           | 25           |
| <b>Total Axiom Real-Time Metrics, Inc. depreciable assets</b> |       |      |        | <b>1,320</b> | <b>1,000</b> |

Source: FY18 T2 income tax return of Axiom.

DB: declining balance; SL: straight line

Note 1: 1 CAD to 0.7580 USD FX conversion.

- utilized if the business that incurred the NOLs is carried forward to the particular year in which the carry forwards are utilized; and
- The NOLs can only be applied against income from the business that incurred the carry forwards and from any other business substantially all of the income of which was derived from the sale of similar properties or similar services.
- As of FY18, Target has utilized all of its non-capital loss carry forwards.

- Company will be treated as a resident of Canada for tax purposes by a non-resident. As a result the Company is expected to lose its CCPC status.
- Axiom will have a deemed taxation year-end immediately before the time of losing its CCPC status. Axiom will be required to file a corporate tax return for the deemed year-end, due six months following the deemed year-end.
- We generally recommend, where otherwise feasible, the SPA is signed on the day of closing to limit the number of deemed year ends.
- Where the SPA is signed in advance of closing, Axiom will have two deemed year-ends, that is (i) on the loss of CCPC status and (ii) on the AOC.

## FY17 Tax Filing

- Based on Target's financial statements, Target expenses all research costs. Software development costs are capitalized as intangible assets when the Company can demonstrate that the technical feasibility of the project has been established.
- Generally in open taxation years, the amounts Target capitalized to intangible assets for accounting purposes overlap for tax purposes and are capitalized to computer software (Class 12) for the capital cost allowance. However, from Target's FY17 tax return filing, there were significant costs that were capitalized for accounting purposes but did not meet the criteria for capitalization for tax purposes. As a result, Target generated a taxable loss for FY17 as a result of the deduction of approximately C\$2M to taxable income.
- We have not confirmed the detailed breakdown of the tax deduction but generally, any impact should only be of timing in nature.



## Supporting Analysis

## General tax compliance overview (3)

| Axiom - due from related parties as of December 2018 |                 |                                   |                           |                           |
|------------------------------------------------------|-----------------|-----------------------------------|---------------------------|---------------------------|
| CAD\$'000s unless otherwise indicated                | Dec '18 Balance | Expected repayment prior to close | Expected balance at close | Expected balance at close |
| <b>Axiom Real-Time Metrics, Inc.</b>                 |                 |                                   |                           | <b>USD</b>                |
| Due from Thinkworks                                  | 7,430           | (4,500)                           | 2,930                     | 2,221                     |
| Due from J2ASM Inc.                                  | 2,122           | (70)                              | 2,052                     | 1,555                     |
| Due from third party                                 | 169             | (169)                             | -                         | -                         |
| Due from shareholder (Andrew Schachter)              | 14              |                                   | 14                        | 10                        |
| <b>Total - due from related parties</b>              | <b>9,734</b>    | <b>(4,739)</b>                    | <b>4,995</b>              | <b>3,786</b>              |

Source: Excel document "FY19 related party Dec18" provided in VDR

Note 1: 1 CAD to 0.7580 USD FX conversion.

Note 2: Management represented that C\$4.5M of the Thinkworks balance will be repaid prior to close.

Note 3: Management represented that the receivable balance from J2ASM Inc. is amortized by approximately C\$20k per month for the cash portion of rent paid by Target to J2ASM Inc. We have estimated that the December 2018 balance of C\$2.1M will be reduced by \$20k for 3.5 months.

Note 4: Management represented the "due from third party" balance represents the amount that will be cleared as a dividend from Target to Thinkworks prior to close.

Note 5: Management represented the "due from shareholder" balance from Andrew Schachter will be settled at FY19 year-end.

**Scientific Research and Experimental Development (“SR&ED”)****Supporting Analysis**

Canada has a SR&ED tax incentive regime which provides tax benefits to corporations carrying out qualifying activities (i.e., “systematic investigation or research carried out in a field of science or technology by means of experiment, analysis or modification”).

**Federal incentives**

- Federal ITCs are available for eligible CCPCs at a refundable enhanced rate of 35% on (up to C\$3 million) of eligible expenditures versus a non-refundable rate of 15% that is available to non-CCPCs (and CCPCs with eligible expenditures above C\$3 million). ITCs are included in taxable income in the year following the year in which the ITC was received.
- The expenditure limit for refundable Federal ITCs at the reduced rate may be reduced where a corporation's aggregate amount of taxable capital and taxable income exceed certain thresholds.

**Provincial (Ontario) incentives**i. Ontario innovation tax credit (“OITC”)

- Provincial OITCs are available for all corporations with a permanent establishment (“PE”) in Ontario at a refundable rate of 8% on up to C\$3 million of eligible expenditures. OITCs are included in taxable income in the year following the year received.
- Similar to federal incentives, the expenditure limit may be reduced where a corporation's aggregate amount of taxable capital and taxable income exceed certain thresholds.

ii. Ontario research and development tax credit (“ORDTC”)

- Provincial ORDTCs are available for all Canadian corporations with a PE in Ontario at a non-refundable rate of 3.5% of eligible expenditures.

## Supporting Analysis

# Scientific Research and Experimental Development (“SR&ED”) (2)

# Supporting Analysis Independent Contractors

# Supporting Analysis

## Indirect Tax

making sales to customers in BC, MB or SK, it should not be required to register as a vendor for PST purposes in those provinces or for QST in Quebec.

DRAFT



# Supporting Analysis

*ASC 606 analysis*

# Executive summary



## High level impact assessment

We performed a high level impact assessment of the adoption of ASC 606 by Axiom. Our observations are based on the readily available materials, such as the audited financial statements, sample contracts, interview with management and other materials that were provided by Axiom. Our impact assessment indicates areas that are likely to be impacted by ASC 606 for revenue recognition upon adoption of the standard. It is noted that additional assessment considerations could be identified upon implementation of the new revenue recognition standard. In our experience, in the implementation phase more details and facts and circumstances are typically identified, because a larger sample of contracts will need to be reviewed and more corroborative inquiry (for example with operations personnel) may lead to new insights and newly identified impact areas. Below the main impacted areas that were identified in the impact assessment are included.

### Main potential impact areas

| Impact Area                                   | Description                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Impact |
|-----------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|
| <b>Multiple deliverable accounting</b>        | Currently, Axiom recognizes revenue based on specific activities that are bucketed into two categories 'Think/Deploy' and 'Launch'. Under ASC 606, this current split of revenues may not be aligned with the identification of performance obligations, which will affect both the timing and amount of revenue recognized. Particularly, if some of the activities related to 'Think/Deploy' are determined to be set-up activities (e.g. activation activities or set-up of user interfaces), fees related to these activities will need to be deferred and recognized as part of other performance obligations. | ●      |
| <b>Determining stand-alone selling prices</b> | For each performance obligation identified, the stand-alone selling price will need to be determined. Management represented that the stated contract prices are considered to be an appropriate basis to determine stand-alone selling prices. However, evidence to support this statement likely may require implementing a new process. In addition, the level (i.e. the grouping of activities) at which stand-alone selling price is estimated is directly affected by the determination of performance obligations discussed above.                                                                           | ●      |

We note that the above potential impact areas are judgemental. Depending on the application of judgement and evaluation of the facts and circumstances of individual contracts, it is possible that the Company may arrive at similar revenue recognition to their current accounting. Conversely, if changes to the accounting are required, the amount of the impact likely would vary from one contract to another and therefore is very difficult to accurately estimate or extrapolate. These areas of judgement have been discussed in more detail on the following pages. A high level quantification of the potential impact, including the related assumptions, is included on the next page.



No impact expected



Medium impact expected



Significant impact expected

# Executive summary

## Quantification

In the table below a high-level quantification of the potential impact of ASC 606 for FY17 and FY18 is included. The quantification is intended to visualize the impact of allocating fees for activities completed in the Think/Deploy phase that are related to set-up activities to the performance obligations in the contract. This allocation results in a deferral of revenues compared to current accounting.

In the quantification 3 scenarios are included:

- Scenario 1 visualizes the impact of ASC 606 in the case that no set-up activities are identified in the Think/Deploy phase. In this case, revenue recognized is expected to be similar to the current accounting and therefore the quantification reflects no impact on revenue recognized.
- In scenario 2 and 3, the estimated impact is calculated in the case that 20% and 40% respectively of the total fees for the Think/Deploy phase relate to set-up activities. As shown in the table, this leads to a deferral of revenues, which will be recognized from FY19 onwards.

## Assumptions

The quantification estimated below is based on the following key assumptions:

- The total percentage related to set-up activities in scenario 2 (20%) and scenario 3 (40%) are assumptions that have been included for illustrative purposes. As discussed later in the report, a detailed analysis of the various activities in the implementation phase will need to be performed.
- We noted differences in the activities in the budget for the Velicept projects compared to other projects. When considering this in conjunction with project magnitude, different assumptions (e.g. a much lower percentage of set-up activities) may be more appropriate to apply to these projects.
- All projects for which revenues were recognized within one financial year only were assumed not to be impacted by ASC 606.
- All project revenues related to phases other than 'Think/Deploy' and 'Launch', were ignored in the calculation (approx. \$109 thousand).
- The revenues were allocated based on the 'Think/Deploy' and 'Launch' revenues for FY16 until FY18 and the signed revenues for FY19.

| Potential Impact of ASC 606 |         |         |         |         |         |         |         |         |               |         |         |               |         |         |
|-----------------------------|---------|---------|---------|---------|---------|---------|---------|---------|---------------|---------|---------|---------------|---------|---------|
| \$'000                      | FY17    |         |         |         | FY18    |         |         |         | Variance FY17 |         |         | Variance FY18 |         |         |
|                             | Actuals | Scen. 1 | Scen. 2 | Scen. 3 | Actuals | Scen. 1 | Scen. 2 | Scen. 3 | Scen. 1       | Scen. 2 | Scen. 3 | Scen. 1       | Scen. 2 | Scen. 3 |
| Velicept                    | 863     | 863     | 749     | 635     | 13,694  | 13,694  | 12,901  | 12,108  | -             | (114)   | (228)   | -             | (793)   | (1,586) |
| Osmotica                    | -       | -       | -       | -       | 873     | 873     | 873     | 873     | -             | -       | -       | -             | -       | -       |
| Lotus                       | 510     | 510     | 501     | 492     | 854     | 854     | 871     | 888     | -             | (9)     | (18)    | -             | 17      | 34      |
| Anika                       | 836     | 836     | 764     | 691     | 841     | 841     | 931     | 1,020   | -             | (73)    | (145)   | -             | 90      | 179     |
| Flexion                     | 1,147   | 1,147   | 1,153   | 1,159   | 761     | 761     | 759     | 757     | -             | 6       | 12      | -             | (2)     | (4)     |
| Vitals                      | 1,225   | 1,225   | 1,256   | 1,287   | 724     | 724     | 775     | 826     | -             | 31      | 62      | -             | 51      | 101     |
| Sequent                     | 463     | 463     | 472     | 482     | 669     | 669     | 678     | 687     | -             | 10      | 19      | -             | 9       | 18      |
| Microvention                | 1,475   | 1,475   | 1,441   | 1,407   | 646     | 646     | 680     | 714     | -             | (34)    | (68)    | -             | 34      | 68      |
| Tolmar                      | 374     | 374     | 374     | 374     | 550     | 550     | 550     | 550     | -             | -       | -       | -             | -       | -       |
| Achillion                   | -       | -       | -       | -       | 396     | 396     | 388     | 381     | -             | -       | -       | -             | (8)     | (15)    |
| Top 10 Clients in FY18      | 6,892   | 6,892   | 6,709   | 6,526   | 20,009  | 20,009  | 19,407  | 18,804  | -             | (183)   | (366)   | -             | (603)   | (1,206) |
| Other clients               | 4,586   | 4,586   | 4,504   | 4,421   | 2,347   | 2,347   | 2,370   | 2,394   | -             | (83)    | (166)   | -             | 24      | 47      |
| Total                       | 11,479  | 11,479  | 11,213  | 10,947  | 22,356  | 22,356  | 21,777  | 21,198  | -             | (266)   | (532)   | -             | (579)   | (1,158) |
| Total w/o Velicept          | 10,616  | 10,616  | 10,463  | 10,311  | 8,662   | 8,662   | 8,876   | 9,090   | -             | (152)   | (304)   | -             | 214     | 428     |



# Introduction of ASC 606



## General

ASC 606 *Revenue from Contracts with Customers*, the new standard for revenue recognition, is effective for private companies for periods beginning after December 15, 2018. Therefore, Axiom will need to apply this standard from July 1, 2019. Under ASC 606, Axiom will apply the five step model to every contract to determine when and how to recognize revenue. The standard introduces specific requirements on how to separate the elements of a contract, allocation of consideration and the ability to recognize revenue over time.

Apart from the five step model, the standard includes extensive application guidance on specific topics, including principal versus agent considerations, accounting for licensing and contract costs.



## Application guidance

Contract costs

Contract modifications

Licensing

Sales outside ordinary activities

Sale with a right of return

Warranties

Agent versus principal

Customer options for additional goods or services

Non-refundable upfront fees

**Step 1:**  
Identify the contract

**Step 2:**  
Identify performance obligations

**Step 3:**  
Determine the transaction price

**Step 4:**  
Allocate the transaction price

**Step 5:**  
Recognize revenue

Contract

PO 1

PO 2

TP for the contract

TP allocated to PO 1

TP allocated to PO 2

Revenue on PO 1

Revenue on PO 2

Note:

PO: Performance Obligation

TP: Transaction Price

Please note that this is a generic explanation of the five step model in ASC 606 and does not constitute any conclusion on the application of the five step model to the contracts in scope for review.

# ASC 606 – Impact assessment

Impact



| Step 1 – Identify the contract |                                                                                                                                                                                                                                                                                                                      |
|--------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                | Narrative                                                                                                                                                                                                                                                                                                            |
| Current accounting             | Revenue contracts are accounted for once persuasive evidence that an arrangement exists.                                                                                                                                                                                                                             |
| Requirements of ASC 606        | The assessment of whether a contract exists is based on whether enforceable rights and obligations exist. Furthermore, ASC 606 has additional requirements before revenue can be recognized, such as a probability assessment for the collection of the consideration and an assessment of the commercial substance. |
| Implications of adoption       | Although ASC 606 has additional requirements related to identifying the contract, this is not likely to result in a change compared to current practice.                                                                                                                                                             |
| Key judgement areas            | None                                                                                                                                                                                                                                                                                                                 |

# ASC 606 – Impact assessment

Impact



## Step 2 – Identify performance obligations (1/2)

|                          | Narrative                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|--------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Current accounting       | Axiom's contracts contain detailed budget calculations and schedules that outline numerous activities to be performed. These activities are bucketed into 'Think/Deploy' and 'Launch' revenue streams for which revenues are tracked separately. Revenue is recognized as these activities are performed based on the stated price for the activity as outlined in the contract.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| Requirements of ASC 606  | <p>Under ASC 606 an entity is required to identify the promised goods and services in the contract and then determine which are separate performance obligations (i.e. the unit of account). A performance obligation is a promised good or service that is distinct or a series of distinct goods or services that are substantially the same.</p> <p>Set-up activities, as opposed to promised services, provide no incremental benefit to the customer beyond that which they will receive from access to the hosted application. In other words, set-up activities represent those tasks that are necessary for the customer to begin to use and benefit from the hosted application.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Implications of adoption | <p>In Axiom's contracts, numerous activities are explicitly mentioned. The potential impact for Axiom will depend on which goods or services (together) are distinct and the extent to which certain activities are determined to be set-up activities. Currently, the promises included in the 'Think' and 'Deploy' revenues together and 'Launch' revenues are recognized separately, which implies the identification of two revenue elements. Based on discussion with management, the following might be identified as performance obligations under ASC 606:</p> <p><b>Performance obligation 1: Implementation services</b></p> <p>'Think' and 'Deploy' goods and services relate to the implementation and set-up of the goods and services promised in the 'Launch' bucket, such as project planning, configuration, customization, data migration and other consulting services. In discussion with management, they indicated that the various activities in this phase provide incremental benefit to the customer beyond that which they will receive from simply receiving access to the hosted application, i.e. they are not set-up or administrative activities. They also indicated that the promises in this phase are all considered to relate to implementation services and that there would be a significant integration service between the activities. In this case, the multiple promises in the 'Think/Deploy' phase would be considered a single performance obligation. Some additional considerations in this area are included on the next page.</p> <p><b>Performance obligation 2: Managed services / data management</b></p> <p>'Launch' activities relate to granting access to the hosted application and to providing ongoing project and data management services. The promises in this phase are all considered to relate to services provided over the study operational period. Significant integration of these activities is typically provided and therefore the multiple promises in this phase would be considered to be a single performance obligation.</p> <p><b>Performance obligation 3: Training services (optional)</b></p> <p>In both the 'Think/Deploy' and the 'Launch' phase training services are often included. The price charged for the training is based on standard hourly rates. However, trainings are often optionally included in the contract and will only be provided if the customer requests these services. If the training is optional and the price is based on standard hourly rates, the training services are not a performance obligation at the start of the contract. Instead, a separate contract arises once the Customer requests the training.</p> |

# ASC 606 – Impact assessment

## Step 2 – Identify performance obligations (2/2)

|                                                  | Narrative                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                |                                      |                       |                                                        |                          |                                                    |                            |                                    |                    |                                     |  |                                    |
|--------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------|--------------------------------------|-----------------------|--------------------------------------------------------|--------------------------|----------------------------------------------------|----------------------------|------------------------------------|--------------------|-------------------------------------|--|------------------------------------|
| Key judgement areas                              | <p>In discussion with management they indicated a view that the various promises in the 'Think/Deploy' phase all provide the customer incremental benefit to that which they will receive from simply granting access to the hosted application and therefore are not set-up or administrative activities. This is because each study is a unique process that requires significant customization and configuration of the application to make it ready for use by the customer.</p> <p>However, in our experience, adoption of the new requirements typically requires a company to perform a detailed analysis of the various activities in the implementation phase, grouping them into either implementation or set-up activities.</p> <p>To the extent there are activities that relate to set-up activities, the fees related to these activities will need to be allocated to the performance obligations in the contract, which will result in a portion of them being deferred to the 'Launch' phase.</p>               |                                |                                      |                       |                                                        |                          |                                                    |                            |                                    |                    |                                     |  |                                    |
| Implementation services versus set-up activities | <p>Set-up activities, as opposed to promised services, provide no incremental benefit to the customer beyond that which they will receive from granting access to the hosted application. In other words, set-up activities represent those tasks that are <i>necessary</i> for the customer to begin to use and benefit from the hosted application. Below illustrative examples of set-up activities versus implementation services are included.</p> <table> <tr> <th>Illustrative set-up activities</th><th>Illustrative implementation services</th></tr> <tr> <td>Activation activities</td><td>Interfacing with the existing software of the customer</td></tr> <tr> <td>Set-up of user interface</td><td>Performing customer-specific configuration service</td></tr> <tr> <td>Building simple interfaces</td><td>Performing data migration services</td></tr> <tr> <td>Account activation</td><td>Performing data conversion services</td></tr> <tr> <td></td><td>Significant customization services</td></tr> </table> | Illustrative set-up activities | Illustrative implementation services | Activation activities | Interfacing with the existing software of the customer | Set-up of user interface | Performing customer-specific configuration service | Building simple interfaces | Performing data migration services | Account activation | Performing data conversion services |  | Significant customization services |
| Illustrative set-up activities                   | Illustrative implementation services                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                                |                                      |                       |                                                        |                          |                                                    |                            |                                    |                    |                                     |  |                                    |
| Activation activities                            | Interfacing with the existing software of the customer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                |                                      |                       |                                                        |                          |                                                    |                            |                                    |                    |                                     |  |                                    |
| Set-up of user interface                         | Performing customer-specific configuration service                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                |                                      |                       |                                                        |                          |                                                    |                            |                                    |                    |                                     |  |                                    |
| Building simple interfaces                       | Performing data migration services                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                |                                      |                       |                                                        |                          |                                                    |                            |                                    |                    |                                     |  |                                    |
| Account activation                               | Performing data conversion services                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                |                                      |                       |                                                        |                          |                                                    |                            |                                    |                    |                                     |  |                                    |
|                                                  | Significant customization services                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                |                                      |                       |                                                        |                          |                                                    |                            |                                    |                    |                                     |  |                                    |

# ASC 606 – Impact assessment

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## Step 3 – Determine the transaction price

|                                 | Narrative                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|---------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Current accounting</b>       | <p>The contracts contain detailed budget calculations for each of the activities to be provided to the client. Typically for each of these activities a fixed price or an estimate is included in the budget. The estimated prices (usually based on expected hours to be incurred, the number of subjects, number of sites and complexity of the study) will be invoiced based on actuals as the activities are performed. Typically, if there is an adjustment compared to the estimated budget, it is due to additional effort required to complete the study (e.g. it may be necessary to exceed the planned allocation of patients). These overages are typically invoiced on the final invoice. If material, management estimates an accrual of the overages in the period in which they occur.</p> <p>Other overages typically relate to services not included in the initial budget, such as additional modules. These add-ons are typically agreed to via a change order process and then invoiced as provided.</p>                                                                                                                                                                                            |
| <b>Requirements of ASC 606</b>  | <p>The transaction price is the amount of consideration to which an entity expects to be entitled in exchange for transferring goods or services. To determine the transaction price, an entity considers the terms of the contract, its customary business practices, the effects of (and the constraint on) variable consideration, the time value of money, noncash consideration and consideration payable to the customer.</p> <p>In general, the transaction price includes an entity's estimate of the variable consideration by using either the expected value or the most likely amount, depending on which method the entity expects to better predict the amount of consideration to which the entity will be entitled. However, an entity will generally not be required to make such an estimate for a variable consideration that will be recognized in the period in which it is earned based on the variable consideration allocation guidance (refer to step 4).</p>                                                                                                                                                                                                                                  |
| <b>Implications of adoption</b> | <p>Axiom's contracts contain promised goods and services with fixed pricing and variable pricing. The variable pricing is usually dependent on the underlying quantity (e.g. hours, subjects, pass through costs), for which an estimate is included in the contract with the customer. Any overages compared to the estimate are typically caused by changes in the study that are therefore not expected at the contract inception date. As the variable consideration allocation guidance (refer to step 4) is expected to be applicable, management would not be required to determine the transaction price for the variable components of the contract and rather additional consideration would be recognized in the period in which the variance occurs.</p> <p>If training services or other 'add-ons' are optional, they are not included in the transaction price. This is because the customer has a present contractual right (as opposed to an obligation) to purchase additional services and it is our understanding that the pricing for these services reflects their stand-alone selling price (i.e. the future optional services are not significantly discounted to incentivize the customer).</p> |
| <b>Key judgement areas</b>      | <p>Estimation of overages is required in the period in which the additional services are provided; however, this is already considered by management as part of existing processes. Other judgemental areas related to the transaction price primarily relate to the allocation of the transaction price as discussed in step 4.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |

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## Step 4 – Allocate the transaction price

|                          | Narrative                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|--------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Current accounting       | Contract values are bucketed by revenue streams 'Think/Deploy' and 'Launch' based on the stated contract prices for the activities that are grouped into each bucket. The stated contract prices for each activity are typically based on market rates. Discounts are provided on the total contract level.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Requirements of ASC 606  | <p>The objective of this step is to allocate the transaction price to each performance obligation in an amount that depicts the amount of consideration to which the entity expects to be entitled for transferring the promised goods or service to the customer. Generally, an entity accomplishes this objective by allocating the transaction price to each performance obligation on a relative stand-alone selling price (SSP) basis.</p> <p>The best evidence of a performance obligation's SSP is an observable price from stand-alone sales. A contractually stated contract price or list price could be the SSP, but this is not presumed to be the case and would need to be supported by other evidence. If there is no observable SSP available, the entity is required to determine an estimated SSP.</p> <p>Despite the abovementioned, an entity shall allocate a variable amount entirely to a performance obligation (or a distinct good or service that forms part of a single performance obligation) if the terms of the variable payment relate specifically to that performance obligation and if this allocation method is consistent with the overall allocation objective of ASC 606.</p>                                                                                                                                                                                                                                                                                                                                                                                        |
| Implications of adoption | <p>Contracts contain detailed overviews of all the activities to be performed in each phase. This overview also indicates the unit price of each item and the extended price that will be charged to the customer. Per discussion with Management, the amounts for each activity are generally based on the market rates – pricing for projects is consistent, subject to adjustments to reflect the requirements (e.g. number of patients, number of sites, complexity). Axiom may provide enterprise discounts to its customers, but such a discount percentage is typically provided over all of the goods and services. Because of this pricing structure, the allocation objective of ASC 606 would be met if all of the activities correspond to performance obligations.</p> <p>However, if management concludes that certain promises in the 'Think/Deploy' phase relate to administrative tasks or set-up activities, the transaction price for these promises does not relate to a specific performance obligation. The transaction price for these activities will need to be allocated to 'Think/Deploy' and 'Launch' phase on a relative basis. This means that these revenues will be deferred partly compared to current accounting.</p> <p>It is expected that the variable consideration included in the contracts can typically be allocated entirely to the performance obligation to which they relate. This is because the variable amounts relate specifically to a performance obligation, the benefit provided to the customer and the effort by Axiom to provide the services.</p> |
| Key judgement areas      | <p>Management indicated that all activities included in the 'Think/Deploy' and 'Launch' phase are priced at market rates. However, to substantiate this representation management may need to provide support that the unit prices or stated prices included in the contracts can be used as a basis for determining the SSP for each of the performance obligations that are identified.</p> <p>Management noted that providing various discounts on certain promises in the contract, as opposed to the entire contract, could happen occasionally. This may relate to adjustments to reflect the circumstances of the particular contract (e.g. complexity of that element), in which case the adjusted price may reflect the SSP for that particular project. However, if significant specific discounts were offered as an incentive or without a particular rationale, an allocation of the discount to between the performance obligations in the contract would be applicable. Given that these types of adjustments occur rarely, the impact is not expected to be material.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |



# ASC 606 – Impact assessment

## Step 5 – Recognize revenue

|                                 | Narrative                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
|---------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Current accounting</b>       | <p>Axiom recognizes revenue from the sale of services at the time the services are rendered and persuasive evidence that an arrangement exists, the fee is fixed and determinable, and collection is probable.</p> <p>Revenues from the 'Think/Deploy' phase are recognized and invoiced in the period in which the activities are performed (i.e. progress made). For some contracts, an upfront payment is received from the customer for the 'Think/Deploy' phase. Given the short timeframe of the 'Think/Deploy' phase. Typically no adjustment is needed to defer part of those revenues because the services are performed over a short period and revenue for the services provided in the same period will be close to or in excess of the fees invoiced upfront. Management indicated that for year-end periods a cut-off analysis will be performed to determine if deferral is required.</p> <p>Revenues from the 'Launch' phase are recognized and invoiced in the period in which the activities are performed. Activities with a fixed transaction price that are provided throughout the entire launch phase are recognized on a straight-line basis over the length of the 'Launch' phase. An accrual is recorded if the amounts are invoiced in advance or in arrears. Activities with a variable transaction price are recognized and invoiced in the period in which the activities are performed.</p> <p>Overages are typically invoiced and recognized at the end of the contract upon the final settlement of the contract. If material, management estimates an accrual of the overages in the period in which the services are rendered. In the case of additional scope agreed upon via a change order, revenue will be recognized as the related services are provided.</p> |
| <b>Requirements of ASC 606</b>  | <p>The transaction price allocated to a performance obligation is recognized when (or as) the performance obligation is satisfied, i.e. when (or as) the customers obtains control of the promised goods or services.</p> <p>Revenue is recognized over time if one of the three criteria for over time recognition is met: (1) the customer simultaneously receives and consumes the benefits provided by the entity's performance as the entity performs, (2) the entity's performance creates or enhances an asset that the customer controls as the asset is created or enhanced, or (3) the entity's performance does not create an asset with an alternative use to the entity, and the entity has an enforceable right to payment for performance completed to date. If none of these criteria is met, the revenues are recognized at the point in time at which control of the good or service transfers to the customer.</p> <p>When an entity charges a consistent per transaction or per usage fee, the variable fees can be allocated entirely to the period in which they are earned if the criteria of the variable consideration allocation guidance (refer to step 4) are met. This is because the changes amounts reflect changes in the value to the customer, i.e. the value to the customer of its access to the managed services correlates with how much the customer makes use of the managed services.</p>                                                                                                                                                                                                                                                                                                                                                                     |
| <b>Implications of adoption</b> | <p>Typically implementation services and managed services / data management will meet the requirements to be recognized over time. The measure of progress used to recognize revenue over time will need to depict Axiom's performance. For 'Think/Deploy' phase this could potentially be based on hours of work completed or costs incurred. This could potentially lead to a slightly different revenue recognition within the period the 'Think/Deploy' activities are performed. The potential impact is not likely to be significant given the short timeframe these activities typically entail (i.e. approx. 3 months).</p> <p>For managed services, the most appropriate measure of progress is most likely based on usage or ratable recognition over time. This means that the revenues are recognized in the period in which the services are provided, consistent with Axiom's current policy.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| <b>Key judgement areas</b>      | <p>In selecting a method of measuring progress for implementation services, management should consider the nature of the services and choose a measure that depicts the Company's performance. However, given the short timeframe in which implementation services are provided and that revenue is currently recognized based on the underlying activities performed to date, changing the measure of progress related to the 'Think/Deploy' phase is not expected not lead to any significant changes in revenue recognition.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |

# ASC 606 – Impact assessment

Impact



## Application guidance – Contract costs

|                          | Narrative                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|--------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Current accounting       | <p>Axiom provides sales commissions to employees based on a percentage of the invoiced amounts to the customer. If the employee leaves the company, no further payments are required.</p> <p>Revenues also include pass through revenues related to reimbursements from the client for incurred expenses. These are presented on a gross basis.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| Requirements of ASC 606  | <p>An entity capitalizes incremental costs to obtain a contract with a customer, e.g. sales commissions, if it expects to recover those costs. However, if these commissions contain an additional substantive performance requirement, such costs are not capitalized. A contract acquisition asset is not recognized if the entity does not incur a liability (or obligation) when the contract is approved because future service is required by the commission recipient to earn the payment.</p> <p>Entities performing services for customers often incur out-of-pocket costs as part of delivering that service, such as travel. In these situations, the entity incurs such costs in fulfilling the entity's performance obligation. Regardless of whether a customer imposes restrictions or limits on its reimbursement of out-of-pocket costs, typical out-of-pocket costs and the reimbursements thereof from the customer should be presented on a gross basis.</p> |
| Implications of adoption | <p>The sales commissions that Axiom pays to its sales reps contain a substantive performance requirement, i.e. remaining employed during the contract term. Therefore, in effect, there is a 'double trigger' applicable for these commissions. Hence, the costs are not incremental costs of obtaining a contract.</p> <p>Typically, Axiom's contracts appear to include pass through costs in the total budget. These costs are invoiced based on actual spending. These costs relate to Axiom's costs to deliver services, as opposed to the customer's costs. Therefore, the costs are accounted for in accordance with the fulfillment costs guidance (typically expensed as incurred) and the revenues are treated as a variable consideration (and therefore allocated to the performance obligations). This is in accordance with the current accounting treatment of Axiom.</p>                                                                                         |
| Key judgement areas      | None                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |



# ASC 606 – Impact assessment

Impact



## Application guidance – Licensing

|                          | Narrative                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|--------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Current accounting       | All contracts are accounted for as service arrangements.                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| Requirements of ASC 606  | ASC 606 includes specific guidance on the treatment of contracts for the license of intellectual property ('IP'). A software license is considered to be provided only if the following criteria are met: (1) the customer had the contractual right to take possession of the software at any time without a significant penalty, and (2) it is feasible for the customer to either run the software on its own hardware or contract with another party unrelated to the entity to host the software.                          |
| Implications of adoption | <p>Customers of Axiom do not have the contractual right to take possession of the software. Rather they are only granted access to the hosted application. In case a contract is terminated, the customer has no option to obtain the software. The underlying data of the customer is provided in a certain offline format.</p> <p>The criteria for an arrangement to include a software license are not met and therefore the contracts should be accounting for as service arrangements under the general ASC 606 model.</p> |
| Key judgement areas      | None                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |

# ASC 606 – Impact assessment

Impact



| Practical expedient – As-invoiced recognition |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
|-----------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                               | Narrative                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| Current accounting                            | The current revenue recognition of Axiom closely related to the invoicing. Services provided in the period will be reviewed and, if required, adjustments will be recorded in relation to invoices sent in advance or accrued revenues.                                                                                                                                                                                                                                                                                                                                                  |
| Requirements of ASC 606                       | For performance obligations recognized over time, as a practical expedient, if an entity has a right to invoice a customer at an amount that corresponds with the value to the customer of the entity's performance to date, the entity can elect to recognize revenue at that amount.                                                                                                                                                                                                                                                                                                   |
| Implications of adoption                      | It is likely that Axiom may not be able to apply the 'as invoiced' practical expedient under ASC 606. This is because typically, a significant amount of the 'Think/Deploy' revenues are invoiced upfront, prior to goods or services being provided to the customer. In addition, if management concludes that some of the promises included in the 'Think/Deploy' phase are related to set-up activities, these invoiced revenues also do not directly relate to goods or services that have been transferred to the customer. Hence, the practical expedient would not be applicable. |
| Key judgement areas                           | If management believes that the invoiced value corresponds with the value of the goods or services provided to the customer, Axiom would be able to apply the practical expedient. However, in our experience, the criteria to apply the practical expedient likely would not be met unless changes were made to current invoicing practices.                                                                                                                                                                                                                                            |



# Appendices

1. **Engagement letter procedures**
2. **Reconciliation to financial statements**
3. **Cash reconciliation**
4. **Velicept indirect cost management estimate breakdown**
5. **Direct costs**
6. **Accounts receivable**
7. **Accounts payable**
8. **SR&ED ITCs reconciliation**
9. **Tax information read and outstanding**

# Appendix 1

# Engagement letter procedures

## TRANSACTION SERVICES WORKPLAN

Unless otherwise noted, our work will concentrate on historical financial information of the last two fiscal years ended June 30, 2017 and 2018 and the latest available year-to-date and trailing twelve month financial information for FY19 ("YTD-19" and "TTM-19"), to the extent information is available.

### Financial due diligence

#### 1. Overview

Read available information and meet with Target's officers in order to develop an understanding of Target, including its:

- Business strategy;
- Organization structure and management reporting relationships;
- Currency hedging strategy;
- Significant accounting estimates;
- Significant accounting policies (e.g. revenue recognition); and
- Finance function, financial reporting framework and internal controls environment.

#### 2. Consistency of accounting policies

Consider if the following accounting policies have been applied consistently within and across historical periods:

- Significant accounting policies including revenue recognition, capitalized internal development costs, and related party transactions;
- Significant accounting estimates (e.g. allowance for doubtful accounts, lease contracts, etc.); and
- Recent or contemplated changes in accounting principles, procedures or estimates and provisions (e.g. IFRS 15/ASC 606 revenue recognition standards).

#### 3. Sustainability / quality of earnings

Propose potential adjustments to historical earnings before interest, taxes, depreciation and amortization ("EBITDA") by considering:

- Normalization adjustments identified by management;
- The impact of provisions, management estimates or adjusting entries on the reported results;
- Related party transactions;
- The impact of any changes to accounting policies (e.g. revenue) in the historical period;
- The impact of capitalized internal development costs;
- The pro forma impact of changes in the business (e.g. incremental rent costs at upgraded facility, private jet operating costs);
- The impact of foreign exchange fluctuations and pro forma impact on a constant currency basis;
- The pro forma impact of significant new / lost customers; and
- Any other large, unusual or non-recurring events or transactions that may have distorted results.

#### Supporting analysis to quality of earnings

##### i. Revenue and profitability

Obtain and analyze Target's revenue and margins by the following:

- Segment;
- Product/module;
- Customer (top 20, including both revenue and gross margin);

- Price and volume trends where possible by segment, product/module and/or customer;
- Understand key customer terms (including discounts, rebates, payment terms);
- Comment on any non-recurring components of revenue; and
- Revenue seasonality, if any.

##### ii. Operating expenses

Obtain and read an analysis of Target's operating expenses and inquire about:

- Trends for key components within reported operating expenses (indirect salaries & benefits, administrative, insurance, travel & entertainment, advertising and promotion etc.); and
- Unusual and extraordinary items.

##### 1. Revenue forecast

Obtain and read an analysis of the Company's contracted backlog and forecasted pipeline, and inquire about:

- Tie into overall forecast; and
- Contracted terms and assumptions made

##### 2. Normalized cash flow statements

Obtain and read an analysis of the Company's cash flow statements. Based on items identified in the quality of earnings analysis and other items identified during diligence, present potentially normalized cash flow statements.

##### 3. Working capital

Obtain and read an analysis of historical monthly working capital levels and discuss significant fluctuations with management including large or unusual items which may have impacted normalized working capital levels.

#### Supporting analysis to working capital

##### i. Accounts receivable

Obtain and read an analysis of Target's accounts receivable and inquire about:

- Accounts receivable aging and days outstanding;
- Credit terms; and
- Historical bad debt experience, allowance for uncollectible accounts and write-offs.

##### ii. Prepaid & other current assets

Prepare a summary of other assets and comment on unusual items, significant fluctuations and significant balances.

##### iii. Accounts payable and accrued expenses

Obtain and read an analysis of Target's accounts payable and accrued liabilities and inquire about:

- Accounts payable aging and days outstanding;
- Accrued payroll; and
- Accrued liabilities.

## Appendix 1

## Engagement letter procedures (2)

**1. Net debt / debt-like items**

Summarize and comment on net debt items presented by management and other potential debt-like items within the transaction perimeter including:

- a) Third party debt;
- b) Security deposits;
- c) Contingent purchase obligations;
- d) Pending or threatened litigation or investigations; and
- e) Any material off-balance sheet transactions.

**Tax due diligence**

*Our Canadian tax due diligence procedures will be performed with respect to your proposed acquisition of the Target. Our fees are estimated based on the assumption that our scope will involve the investigation of the tax position of one Canadian tax resident corporation. If additional services will be provided on additional Canadian target entities (including predecessor entities), there will be additional fees.*

*Unless otherwise specifically noted below, our scope of work will be restricted to the periods FY14 – FY18 and year-to-date ("YTD") FY19 (hereinafter termed as "period under investigation"). References to accounts and associated data are for these periods.*

*Due diligence procedures will be undertaken through discussions with management, and where applicable, Target's tax advisors, and through reading limited documents as described below.*

**1. Overview**

- a) Obtain and read Canadian corporate tax returns for FY14 – FY18 filed by Target including financial statements and supporting work papers, as made available to us.
- b) Obtain and read correspondence with tax advisers, auditors and/or the Canadian tax authorities for the past three income years, including finalized, on-going and/or pending tax audits as made available to us.
- c) Obtain and read schedules of tax basis of significant assets of Target and unused loss and investment tax credit carryovers by jurisdiction, including date of expiration and applicable restrictions on use. Consider implications of an acquisition of control of Target on the availability of unused losses, tax credits, resource pools and tax basis of material assets.
- d) Obtain and read a summary of the components of future (deferred) tax accounts and analysis of uncertain tax positions for most recent year-end.

**2. Income tax**

Inquire with Target management and/or their tax advisors about:

- a) Structuring of significant transactions in open tax years (including changes of ownership, tax planning strategies, acquisitions, divestitures, bankruptcy, restructuring or asset acquisition occurring financing structures, changes in share capital, historical tax indemnities and whether they survive on acquisition) and tax treatment thereof;
- b) Results of tax audits in the last five years, including jurisdictions subject to audit, quantum of known or proposed audit adjustments and, status of current/pending audits (income tax, sales tax, and payroll tax);

- a) Quantum of non-arm's length transactions including transactions with the shareholders/directors in the last three years, including basis of pricing/valuation, type of transaction and documentation available to support the transaction;
- b) Corporate income tax return compliance history (including amended tax returns, if any) for the past three income years including whether corporate income tax filings and payments have been made in due time and obtain explanations for any late filings; ;
- c) Activities conducted outside of Canada, if any, which may create presence for a permanent establishment or other legal presence of the Target.

**1. Employment taxes**

- a) Inquire with Target management and/or their tax advisors about:
  - i. Target's payroll tax compliance status, including internal procedures related to payroll tax compliance;
  - ii. Whether Target has been subject to Canadian payroll tax/social security contributions audit in the last four years;
  - iii. The nature and extent of use of individual independent contractors, as applicable; and
  - iv. Compliance history for Canadian payroll tax/social security contributions.
- b) Obtain and read details of Warrants and/or bonus programs for key employees and/or shareholders.

**2. Indirect tax**

- a) Inquire with Target management and/or their tax advisors about:
  - i. Target's indirect tax compliance status, including internal procedures related to indirect tax compliance;
  - ii. Indirect tax status of Target's revenue, (e.g. taxable/non-taxable supplies and recovery of input tax credits); and
  - iii. Target's activities and VAT registrations outside of Canada, as applicable.
- b) Obtain and read a sample (e.g. 1 per quarter) of any GST/HST/QST/PST returns and remittances for the past two years and supporting working papers.
- c) Obtain and read indirect tax correspondence with tax advisers, auditors and/or the Canadian tax authorities for the past three income years, including finalized, on-going and/or pending indirect tax audits or indirect tax rulings.

**Scope of Tax Structuring Services (optional)****TAX STRUCTURING WORK PLAN (optional)****1. Phase I - Feasibility**

- a) Preliminary investigation of feasible alternatives for acquiring holding and exiting from the investment in a tax effective manner including consideration of:
  - i. The use of a new / existing Canadian entity to acquire the shares of Target.
  - ii. The impact of the corporate tax structure with regard to your existing organization structure.
- b) Our deliverable will be a PowerPoint deck setting out one or two recommended structures together with their intended tax benefits and key potential tax issues.
- c) Read initial draft of the Share Purchase Agreement and offer commentary to Client and its legal counsel concerning sections relating to tax matters based on the results of the due diligence assistance we provided.

## Appendix 1

# Engagement letter procedures (3)

**1. Phase II - Implementation**

- a) Further research and analysis of the tax implications of the chosen alternative including consideration of:
  - i. Tax implications arising from the acquisition structure, taking into account repatriation of profits and the tax implications from financing the transaction through debt / equity;
  - ii. Tax deductibility of transaction costs, unamortized deferred financing fees, etc.;
  - iii. Tax deductibility of interest expense; and
  - iv. Tax treatment of employment compensation including stock compensation and contingent compensation at closing, if any.
- b) Preparation of written reports on the tax implications of the proposed transaction steps, as required by you;
- c) Advisory assistance with implementation including discussions with you and your legal counsel regarding the proposed steps and review from a tax perspective of the legal documents prepared by your legal counsel; and
- d) Any other related tax advice or assistance with respect to the tax consequences of the proposed transaction or activities post acquisition. However, our tax structuring assistance under this engagement letter will not include the preparation of any transfer pricing documentation.

## Appendix 2

## Reconciliation to audited balance sheet

| Reconciliation to audited balance sheet            |                |                |            |                 |                 |                |
|----------------------------------------------------|----------------|----------------|------------|-----------------|-----------------|----------------|
| CAD'000                                            | As at          |                |            |                 |                 |                |
|                                                    | 30-Jun-17      |                |            | 30-Jun-18       |                 |                |
|                                                    | Internal TB    | Audited FS     | Variance   | Internal TB     | Audited FS      | Variance       |
| <b>Assets</b>                                      |                |                |            |                 |                 |                |
| Current assets                                     |                |                |            |                 |                 |                |
| Cash                                               | 1,259          | 1,259          | (0)        | (936)           | 333             | (1,270)        |
| Short-term investment                              | -              | -              | -          | -               | 50              | (50)           |
| Accounts receivable                                | 2,110          | 2,110          | (0)        | 4,740           | 4,740           | -              |
| Fair value of foreign exchange contract            | -              | -              | -          | -               | 5               | (5)            |
| Prepaid expenses and deposits                      | 178            | 178            | 0          | 114             | 114             | 0              |
| Income taxes receivable                            | 541            | 541            | -          | 862             | 862             | -              |
| Due from director                                  | -              | 65             | (65)       | -               | -               | -              |
| Total current assets                               | 4,088          | 4,153          | (65)       | 4,779           | 6,104           | (1,325)        |
| Property and equipment                             | 376            | 376            | (0)        | 451             | 451             | (0)            |
| Intangible assets                                  | 2,438          | 2,438          | 0          | 3,408           | 3,408           | (0)            |
| Due from related companies                         | 406            | 341            | 65         | 4,216           | 4,216           | (0)            |
| <b>Total Assets</b>                                | <b>7,308</b>   | <b>7,308</b>   | <b>0</b>   | <b>12,855</b>   | <b>14,180</b>   | <b>(1,325)</b> |
| <b>Liabilities</b>                                 |                |                |            |                 |                 |                |
| Current liabilities                                |                |                |            |                 |                 |                |
| Bank operating loan                                | -              | -              | -          | -               | (1,325)         | 1,325          |
| Accounts payable and accrued liabilities           | (1,837)        | (1,837)        | 0          | (5,179)         | (5,179)         | (0)            |
| Current portion of obligation under capital leases | (37)           | (37)           | -          | (63)            | (63)            | -              |
| Current portion of bank term loans                 | (68)           | (68)           | 0          | (5)             | (551)           | 545            |
| Customer deposits                                  | (666)          | (666)          | (0)        | (214)           | (214)           | (0)            |
| Total current liabilities                          | (2,608)        | (2,608)        | 0          | (5,461)         | (7,332)         | 1,870          |
| Obligation under capital leases                    | (56)           | (56)           | -          | (90)            | (90)            | 0              |
| Loan payable                                       | -              | (207)          | 207        | -               | (1,935)         | 1,935          |
| Bank term loans                                    | (1,857)        | (1,650)        | (207)      | (2,480)         | -               | (2,480)        |
| <b>Total liabilities</b>                           | <b>(4,520)</b> | <b>(4,520)</b> | <b>0</b>   | <b>(8,032)</b>  | <b>(9,357)</b>  | <b>1,325</b>   |
| <b>Shareholders' Equity</b>                        |                |                |            |                 |                 |                |
| Share capital                                      | (2)            | (2)            | -          | (2)             | (2)             | -              |
| Retained earnings                                  | (2,786)        | (2,786)        | (0)        | (4,821)         | (4,821)         | 0              |
| <b>Total equity</b>                                | <b>(2,788)</b> | <b>(2,788)</b> | <b>(0)</b> | <b>(4,823)</b>  | <b>(4,823)</b>  | <b>0</b>       |
| <b>Total liabilities and shareholders equity</b>   | <b>(7,308)</b> | <b>(7,308)</b> | <b>(0)</b> | <b>(12,855)</b> | <b>(14,180)</b> | <b>1,325</b>   |

Source: Reviewed financial statements; Internal trial balances; KPMG analysis

## Overview

- The FY18 and FY17 financial statements were audited by Klasner & Solomon LLP.
- Please note all of the variances observed were due to reclassifications, we have observed these and conclude that there is no impact to NWC.

## Appendix 2

# Reconciliation to audited income statement

| Reconciliation to audited income statement |                 |                 |          |                 |                 |            |
|--------------------------------------------|-----------------|-----------------|----------|-----------------|-----------------|------------|
| CAD'000                                    | FY17            |                 |          | FY18            |                 |            |
|                                            | Internal TB     | Audited FS      | Variance | Internal TB     | Audited FS      | Variance   |
| Revenue                                    | 11,469          | 11,469          | 0        | 22,356          | 22,356          | -          |
| <b>Expenses</b>                            |                 |                 |          |                 |                 |            |
| Direct subcontractor cost                  | (234)           | (234)           | (0)      | (8,259)         | (8,259)         | (0)        |
| Wages                                      | (5,564)         | (5,529)         | (35)     | (5,454)         | (5,454)         | (0)        |
| Travel                                     | (1,333)         | (1,333)         | (0)      | (1,525)         | (1,525)         | -          |
| Advertising and promotion                  | (704)           | (704)           | 0        | (906)           | (906)           | 0          |
| Computer and data services                 | (637)           | (672)           | 35       | (773)           | (773)           | (0)        |
| Occupancy costs                            | (457)           | (457)           | 0        | (461)           | (461)           | (0)        |
| Office and general                         | (498)           | (478)           | (20)     | (444)           | (444)           | (0)        |
| Telephone and communications               | (113)           | (113)           | (0)      | (205)           | (205)           | (0)        |
| Professional fees                          | (71)            | (71)            | 0        | (154)           | (154)           | 0          |
| Insurance                                  | (37)            | (37)            | 0        | (56)            | (56)            | (0)        |
| Bad debts                                  | (10)            | (10)            | -        | (17)            | (17)            | 0          |
| Foreign exchange gain                      | 75              | 75              | (0)      | 10              | 10              | 0          |
| Interest on long-term debt                 | (61)            | (58)            | (4)      | (355)           | (311)           | (44)       |
| Interest                                   | -               | (23)            | 23       | -               | (44)            | 44         |
| Amortization of intangible assets          | (499)           | (499)           | 0        | (811)           | (811)           | -          |
| Amortization of property and equipment     | (129)           | (129)           | (0)      | (182)           | (182)           | (0)        |
| <b>Total expenses</b>                      | <b>(10,272)</b> | <b>(10,272)</b> | <b>0</b> | <b>(19,592)</b> | <b>(19,592)</b> | <b>(0)</b> |
| <b>Earnings before income taxes</b>        | <b>1,197</b>    | <b>1,197</b>    | <b>0</b> | <b>2,764</b>    | <b>2,764</b>    | <b>(0)</b> |
| (Provision for) recovery of income taxes   | 186             | 186             | -        | (398)           | (398)           | -          |
| <b>Net earnings for the year</b>           | <b>1,382</b>    | <b>1,382</b>    | <b>0</b> | <b>2,366</b>    | <b>2,366</b>    | <b>(0)</b> |
| Retained earnings, beginning of year       | 1,745           | 1,745           | (0)      | 2,786           | 2,786           | 0          |
| Dividends                                  | (341)           | (341)           | -        | (331)           | (331)           | (0)        |
| <b>Retained earnings, end of year</b>      | <b>2,786</b>    | <b>2,786</b>    | <b>0</b> | <b>4,821</b>    | <b>4,821</b>    | <b>(0)</b> |

Source: Reviewed financial statements; Internal trial balances; KPMG analysis

## Overview

- The FY18 and FY17 financial statements were audited by Klasner & Solomon LLP.
- Please note all of the variances observed were due to reclassifications, we have observed these and conclude that there is no impact to Net income.



# Appendix 3

## Cash reconciliation

| Debits (Outflows) Reconciliation                                       |                |                |                |                |                |                |                |                |                |                |                |                | TTM             |
|------------------------------------------------------------------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|-----------------|
| \$'000                                                                 | Feb-18         | Mar-18         | Apr-18         | May-18         | Jun-18         | Jul-18         | Aug-18         | Sep-18         | Oct-18         | Nov-18         | Dec-18         | Jan-19         | Jan-19          |
| <b>Expected (Debits) Outflows</b>                                      | <b>(1,805)</b> | <b>(1,850)</b> | <b>(2,568)</b> | <b>(2,669)</b> | <b>(2,208)</b> | <b>(2,384)</b> | <b>(4,032)</b> | <b>(5,530)</b> | <b>(3,814)</b> | <b>(3,240)</b> | <b>(2,468)</b> | <b>(3,240)</b> | <b>(35,809)</b> |
| Actual Debits (Outflows) per Bank Statement                            | (5,059)        | (2,610)        | (3,842)        | (4,915)        | (4,602)        | (5,813)        | (6,329)        | (10,138)       | (6,279)        | (6,361)        | (9,188)        | (7,507)        | (72,643)        |
| <b>Cash outflows in excess of expenses, (before reconciling items)</b> | <b>3,254</b>   | <b>760</b>     | <b>1,274</b>   | <b>2,246</b>   | <b>2,394</b>   | <b>3,429</b>   | <b>2,297</b>   | <b>4,607</b>   | <b>2,465</b>   | <b>3,120</b>   | <b>6,720</b>   | <b>4,267</b>   | <b>36,833</b>   |
| <b>Difference (%)</b>                                                  | <b>(64.3%)</b> | <b>(29.1%)</b> | <b>(33.2%)</b> | <b>(45.7%)</b> | <b>(52.0%)</b> | <b>(59.0%)</b> | <b>(36.3%)</b> | <b>(45.4%)</b> | <b>(39.3%)</b> | <b>(49.1%)</b> | <b>(73.1%)</b> | <b>(56.8%)</b> | <b>(50.7%)</b>  |
| <b>Reconciling items</b>                                               |                |                |                |                |                |                |                |                |                |                |                |                |                 |
| BCRS Components                                                        | 1,407          | 143            | 395            | 641            | 875            | 1,276          | 890            | 965            | 656            | 786            | 1,265          | 447            | 9,746           |
| FX Transfer                                                            | 1,780          | 451            | 705            | 1,049          | 1,165          | 1,301          | 1,175          | 3,666          | 1,586          | 2,265          | 4,630          | 3,750          | 23,523          |
| Transfer between 2908 and 279                                          | -              | -              | -              | -              | -              | 325            | -              | -              | -              | 483            | -              | -              | 808             |
| Loan to director (net balance)                                         | -              | -              | -              | -              | -              | 500            | -              | -              | -              | -              | -              | -              | 500             |
| Total Reconciling items                                                | 3,187          | 594            | 1,100          | 1,690          | 2,041          | 3,402          | 2,065          | 4,631          | 2,242          | 3,534          | 5,895          | 4,197          | 34,577          |
| <b>Cash outflows in excess of expenses, (after reconciling items)</b>  | <b>68</b>      | <b>166</b>     | <b>173</b>     | <b>556</b>     | <b>354</b>     | <b>27</b>      | <b>231</b>     | <b>(23)</b>    | <b>223</b>     | <b>(413)</b>   | <b>824</b>     | <b>70</b>      | <b>2,256</b>    |
| <b>Difference (%)</b>                                                  | <b>(1.3%)</b>  | <b>(6.4%)</b>  | <b>(4.5%)</b>  | <b>(11.3%)</b> | <b>(7.7%)</b>  | <b>(0.5%)</b>  | <b>(3.7%)</b>  | <b>0.2%</b>    | <b>(3.6%)</b>  | <b>6.5%</b>    | <b>(9.0%)</b>  | <b>(0.9%)</b>  | <b>(3.1%)</b>   |

Source: Management provided information, KPMG analysis

| Credits (Inflows) Reconciliation                                    |              |              |              |              |              |              |              |              |              |               |              |               | TTM           |
|---------------------------------------------------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|---------------|--------------|---------------|---------------|
| \$'000                                                              | Feb-18       | Mar-18       | Apr-18       | May-18       | Jun-18       | Jul-18       | Aug-18       | Sep-18       | Oct-18       | Nov-18        | Dec-18       | Jan-19        | Jan-19        |
| <b>Expected (Credits) Inflows</b>                                   | <b>1,651</b> | <b>1,116</b> | <b>2,359</b> | <b>2,862</b> | <b>2,294</b> | <b>4,561</b> | <b>2,499</b> | <b>4,632</b> | <b>4,181</b> | <b>3,387</b>  | <b>2,465</b> | <b>3,385</b>  | <b>35,393</b> |
| Actual Credits (Inflows) per Bank Statement                         | 4,239        | 2,566        | 3,807        | 5,143        | 4,185        | 7,558        | 5,223        | 9,384        | 6,621        | 6,415         | 8,734        | 8,000         | 71,876        |
| <b>Cash inflows in excess of revenue (before reconciling items)</b> | <b>2,588</b> | <b>1,451</b> | <b>1,448</b> | <b>2,280</b> | <b>1,890</b> | <b>2,997</b> | <b>2,724</b> | <b>4,752</b> | <b>2,440</b> | <b>3,027</b>  | <b>6,269</b> | <b>4,616</b>  | <b>36,482</b> |
| <b>Difference (%)</b>                                               | <b>61.1%</b> | <b>56.5%</b> | <b>38.0%</b> | <b>44.3%</b> | <b>45.2%</b> | <b>39.7%</b> | <b>52.2%</b> | <b>50.6%</b> | <b>36.9%</b> | <b>47.2%</b>  | <b>71.8%</b> | <b>57.7%</b>  | <b>50.8%</b>  |
| <b>Reconciling items</b>                                            |              |              |              |              |              |              |              |              |              |               |              |               |               |
| BCRS Components                                                     | 755          | 920          | 700          | 845          | 715          | 705          | 1,410        | 1,040        | 735          | 890           | 895          | 960           | 10,570        |
| FX Transfer                                                         | 1,753        | 448          | 696          | 1,041        | 1,154        | 1,322        | 1,174        | 3,704        | 1,586        | 2,239         | 4,539        | 3,783         | 23,439        |
| Transfer between 2908 and 279                                       | -            | -            | -            | -            | -            | 324          | -            | -            | -            | 483           | -            | -             | 807           |
| Loan to director (net balance)                                      | -            | -            | -            | -            | -            | 500          | -            | -            | -            | -             | -            | -             | 500           |
| Loan repayment from J2ASM (net balance)                             | -            | -            | -            | -            | -            | -            | -            | -            | -            | -             | -            | -             | -             |
| Total Reconciling items                                             | 2,508        | 1,368        | 1,396        | 1,886        | 1,869        | 2,852        | 2,584        | 4,744        | 2,321        | 3,612         | 5,434        | 4,743         | 35,316        |
| <b>Cash inflows in excess of revenue (after reconciling items)</b>  | <b>81</b>    | <b>83</b>    | <b>53</b>    | <b>394</b>   | <b>22</b>    | <b>145</b>   | <b>140</b>   | <b>8</b>     | <b>119</b>   | <b>(585)</b>  | <b>835</b>   | <b>(127)</b>  | <b>1,166</b>  |
| <b>Difference (%)</b>                                               | <b>1.9%</b>  | <b>3.2%</b>  | <b>1.4%</b>  | <b>7.7%</b>  | <b>0.5%</b>  | <b>1.9%</b>  | <b>2.7%</b>  | <b>0.1%</b>  | <b>1.8%</b>  | <b>(9.1%)</b> | <b>9.6%</b>  | <b>(1.6%)</b> | <b>1.6%</b>   |

Source: Management provided information, KPMG analysis

## Appendix 4

# Velicept indirect cost management estimate breakdown

## Velicept Indirect Costs Management Estimates

| Indirect Cost Item  | Estimate Commentary                                               |
|---------------------|-------------------------------------------------------------------|
| Salary              | 50% of total salary costs<br>(Proportion of Velicept revenue)     |
| Contractors         | 50% of total contractor costs<br>(Proportion of Velicept revenue) |
| Travel              | 33% of total travel costs                                         |
| Computer IT         | 20% of total computer IT costs                                    |
| Communications      | 30% of total communication costs                                  |
| Sales and marketing | 20% of total sales and marketing costs                            |

Source: Management provided information, KPMG analysis

# Appendix 5

## Direct costs

| Direct Cost Summary       |              |                |                 |                   |                |                |
|---------------------------|--------------|----------------|-----------------|-------------------|----------------|----------------|
| \$'000                    |              |                |                 | As a % of Revenue |                |                |
|                           | FY17         | FY18           | TTM Jan-19      | FY17              | FY18           | TTM Jan-19     |
| CRO                       | (231)        | (3,214)        | (6,979)         | (2.0%)            | (14.4%)        | (19.0%)        |
| FS - Start-Up             | -            | (824)          | (1,225)         | -                 | (3.7%)         | (3.3%)         |
| Patient Cons              | -            | (2,040)        | (6,225)         | -                 | (9.1%)         | (16.9%)        |
| Biostats                  | -            | (258)          | (157)           | -                 | (1.2%)         | (0.4%)         |
| Investigator              | -            | (1,556)        | (1,006)         | -                 | (7.0%)         | (2.7%)         |
| One-time costs            | -            | (50)           | (73)            | -                 | (0.2%)         | (0.2%)         |
| Close-out costs           | -            | -              | (9)             | -                 | -              | (0.0%)         |
| Lab costs                 | -            | (295)          | (894)           | -                 | (1.3%)         | (2.4%)         |
| Equipment                 | (3)          | (9)            | (153)           | (0.0%)            | (0.0%)         | (0.4%)         |
| Accommodations            | -            | (2)            | (1)             | -                 | (0.0%)         | (0.0%)         |
| Miscellaneous             | -            | (11)           | (97)            | -                 | (0.1%)         | (0.3%)         |
| <b>Total Direct Costs</b> | <b>(234)</b> | <b>(8,259)</b> | <b>(16,818)</b> | <b>(2.0%)</b>     | <b>(36.9%)</b> | <b>(45.7%)</b> |

Source: Management provided information, KPMG analysis

### Direct Costs

The following items within direct costs are of note:

- 1. CRO:** These costs are related to external CRO costs paid to CRMG. There has been an increase in these costs over the historical period primarily due to the start-up of the Velicept projects, specifically VEL2002 in Feb-18 and VEL2001 in May-18. In FY17, CRO costs comprised the entirety of total direct costs.
- 2. Patient Cons:** These costs relate to the patient costs paid to sites. This has grown from FY18 primarily due to the increased number of studies undertaken by the Company.
- 3. Investigator:** These costs are related to expenses paid to CRT for organizing investigator meetings. These costs include flights, hotels, meals, etc. There were 150 investigators for four days.
- 4. Lab costs:** These costs relate to specific contracts that pertain to managed services agreements for Velicept.

# Appendix 6

## Accounts Receivable

| Accounts Receivable - 1201 |              |              |              |                 |               |               |
|----------------------------|--------------|--------------|--------------|-----------------|---------------|---------------|
| \$'000                     | As at        |              |              | % of overall AR |               |               |
|                            | 30-Jun-17    | 30-Jun-18    | 31-Dec-18    | 30-Jun-17       | 30-Jun-18     | 31-Dec-18     |
| 1-30                       | 1,989        | 4,611        | 1,299        | 92.2%           | 96.4%         | 50.3%         |
| 31-60                      | 87           | -            | 1,135        | 4.0%            | -             | 43.9%         |
| 61-90                      | 3            | 95           | 60           | 0.1%            | 2.0%          | 2.3%          |
| >90                        | 78           | 78           | 91           | 3.6%            | 1.6%          | 3.5%          |
| <b>AR, reported</b>        | <b>2,157</b> | <b>4,784</b> | <b>2,585</b> | <b>100.0%</b>   | <b>100.0%</b> | <b>100.0%</b> |

Source: Management provided information, KPMG analysis

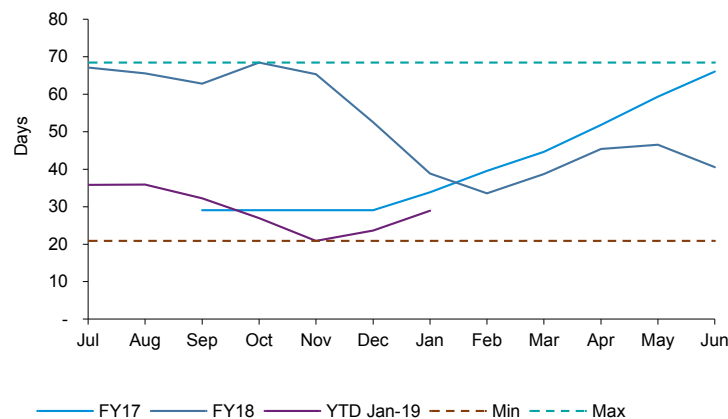
| Accounts Receivable - 90+ balance breakdown |           |
|---------------------------------------------|-----------|
| \$'000                                      | Dec-18    |
| Vicus Therapeutics Inc. (USD)               | 81        |
| BeiGene (USD)                               | 17        |
| Axonics Modulation Technologies, Inc. (USD) | (7)       |
| <b>Top 10</b>                               | <b>91</b> |
| Others                                      | -         |
| <b>Total</b>                                | <b>91</b> |

Source: Management provided information, KPMG analysis

### Accounts Receivable

- The 91+ and 61-90 day buckets, as a % of overall accounts receivable, have been stable throughout the historical period.
- The receivable from Vicus Therapeutics Inc. is not expected to be collected and the Company has created an allowance for it. The Company ran out of funds, this receivable will be cleaned up by the end of FY19.
- DSO ranges from 29 to 68 during the historical period. DSO averages 41 in FY17, 52 in FY18 and 34 in TTM Jan-19. We have inquired with Management as to the DSO trend however responses are pending.

### DSO, adjusted



# Appendix 7

## Accounts Payable

| Accounts Payable - 2100 |            |            |            |                 |               |               |
|-------------------------|------------|------------|------------|-----------------|---------------|---------------|
| \$'000                  | As at      |            |            | % of overall AP |               |               |
|                         | 30-Jun-17  | 30-Jun-18  | 31-Dec-18  | 30-Jun-17       | 30-Jun-18     | 31-Dec-18     |
| 1-30                    | 255        | 438        | 561        | 70.5%           | 103.0%        | 149.6%        |
| 31-60                   | 94         | 1          | 4          | 26.1%           | 0.2%          | 1.2%          |
| 61-90                   | (44)       | (23)       | 4          | (12.3%)         | (5.5%)        | 1.1%          |
| >90                     | 57         | 10         | (194)      | 15.7%           | 2.4%          | (51.8%)       |
| <b>AP, reported</b>     | <b>361</b> | <b>425</b> | <b>375</b> | <b>100.0%</b>   | <b>100.0%</b> | <b>100.0%</b> |

Source: Management provided information, KPMG analysis

| Accounts Payable - 2101 |                 |               |               |               |
|-------------------------|-----------------|---------------|---------------|---------------|
| \$'000                  | % of overall AP |               |               |               |
|                         | 31-Dec-18       | 30-Jun-17     | 30-Jun-18     | 31-Dec-18     |
| 1-30                    | 1,835           | 72.9%         | 91.2%         | 83.9%         |
| 31-60                   | 337             | 10.6%         | 7.5%          | 15.4%         |
| 61-90                   | 135             | 16.5%         | (3.0%)        | 6.2%          |
| >90                     | (120)           |               | 4.3%          | (5.5%)        |
| <b>AP, reported</b>     | <b>2,187</b>    | <b>100.0%</b> | <b>100.0%</b> | <b>100.0%</b> |

Source: Management provided information, KPMG analysis

| Accounts Payable - 90+ balance breakdown - 2100 |              |
|-------------------------------------------------|--------------|
| \$'000                                          | Dec-18       |
| Amex - Andrew Schachter 94008                   | (160)        |
| Amex Corporate- 43004                           | (85)         |
| AMEX Corp- Ashley 71001                         | (38)         |
| Altis HR                                        | 27           |
| ESMT                                            | 22           |
| Torys LLP                                       | 14           |
| Chaitons LLP                                    | 11           |
| TD Visa- Ashley 1202                            | (8)          |
| CIBC Visa- Carey 5447                           | 7            |
| Majente                                         | 4            |
| <b>Top 10</b>                                   | <b>(205)</b> |
| Others                                          | 10           |
| <b>Total</b>                                    | <b>(194)</b> |

Source: Management provided information, KPMG analysis

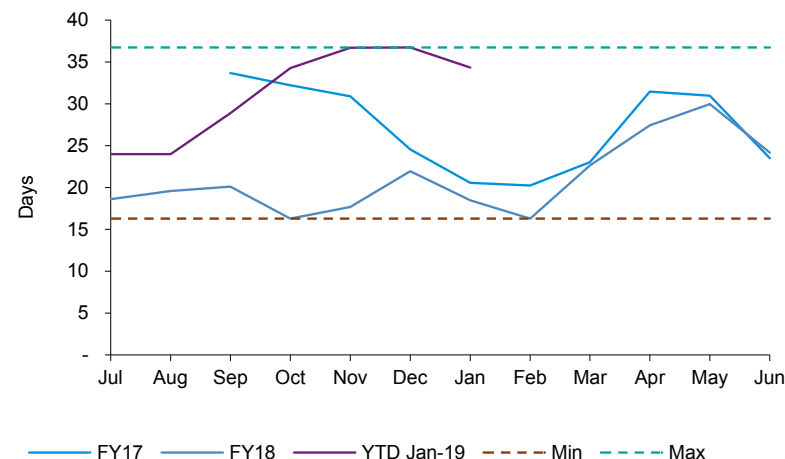
| Accounts Payable - 90+ balance breakdown - 2101 |              |
|-------------------------------------------------|--------------|
| \$'000                                          | 31-Dec-18    |
| AMEX US 1003 (USD)                              | (155)        |
| AMEX Corp- 41004 Robert (USD)                   | (91)         |
| Hobson Associates (USD)                         | 47           |
| Constant Aviation (USD)                         | 33           |
| World Fuel Services Canada, ULC (USD)           | 25           |
| Beijing office (USD)                            | 15           |
| Summit Analytical, LLC (USD)                    | 4            |
| Pacific Bridge, Inc (USD)                       | 2            |
| Morningside Translations (USD)                  | 1            |
| Amex USD 11003 - Nancy Sack (USD)               | -            |
| <b>Top 10</b>                                   | <b>(120)</b> |
| Others                                          | -            |
| <b>Total</b>                                    | <b>(120)</b> |

Source: Management provided information, KPMG analysis

### Accounts payable

- On the reported trial balance, the Company maintains two accounts for Accounts Payable, 2100 and 2101, to record CAD and USD amounts, respectively.
- Account 2100:** The key driver behind this balance relates to AMEX credit card expenses that have yet to be cleared.
- Account 2101:** The key driver behind this balance relates to AMEX credit card expenses that yet to be cleared.
- DPO averages 27 in FY17, 21 in FY18 and 28 in TTM Jan-19. We have inquired with Management as to the DSO trend however responses are pending.

### DPO, adjusted



## Appendix 8

## Reconciliation of SR&amp;ED ITCs – tax returns and financial statements

| SR&ED - FS to tax return reconciliation |      |      |      |      |       |
|-----------------------------------------|------|------|------|------|-------|
| \$'000                                  | FY15 | FY16 | FY17 | FY18 | Total |
| <b>SR&amp;ED ITCs Per FS</b>            |      |      |      |      |       |
| Employee Salaries and Benefits          | 389  | 101  | -    | 758  | 1,249 |
| Intangible Assets                       | -    | 178  | 355  | 214  | 748   |
| Total SR&ED per FS                      | 389  | 279  | 355  | 973  | 1,996 |
| <b>SR&amp;ED ITCs per T2</b>            |      |      |      |      |       |
| Federal SR&ED ITC                       | 259  | 219  | 280  | 707  | 1,465 |
| Provincial ORDTC                        | 44   | 68   | 67   | 84   | 263   |
| Provincial OITC                         | 86   | -    | -    | 182  | 268   |
| Total SR&ED per T2                      | 389  | 286  | 347  | 973  | 1,996 |
| Difference                              | 0    | (7)  | 8    | 0    | 1     |

Source: Management provided information, KPMG analysis

## Appendix 9

# Information read and outstanding

- Based on the FY18-12 corporate income tax return, Target had a Schedule 1 addition of \$1.487M for "SR&ED expensed per FS." Please confirm that this entire amount was expensed to the income statement for accounting purposes.
- Please confirm the amount of related party sales made by Target (output to related parties, if any) in open taxation years.
- Confirmation on how outstanding related party loan receivable balances (\$9.7M as of December 2019) owed to Target will be settled at the close of the Proposed Transaction.



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